



Deutsche Bank
Research

Rates Outlook

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IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. UNTIL 19th MARCH 2021 INCOMPLETE DISCLOSURE INFORMATION MAY HAVE BEEN DISPLAYED, PLEASE SEE APPENDIX 1 FOR FURTHER DETAILS.

Duration closer to fair value

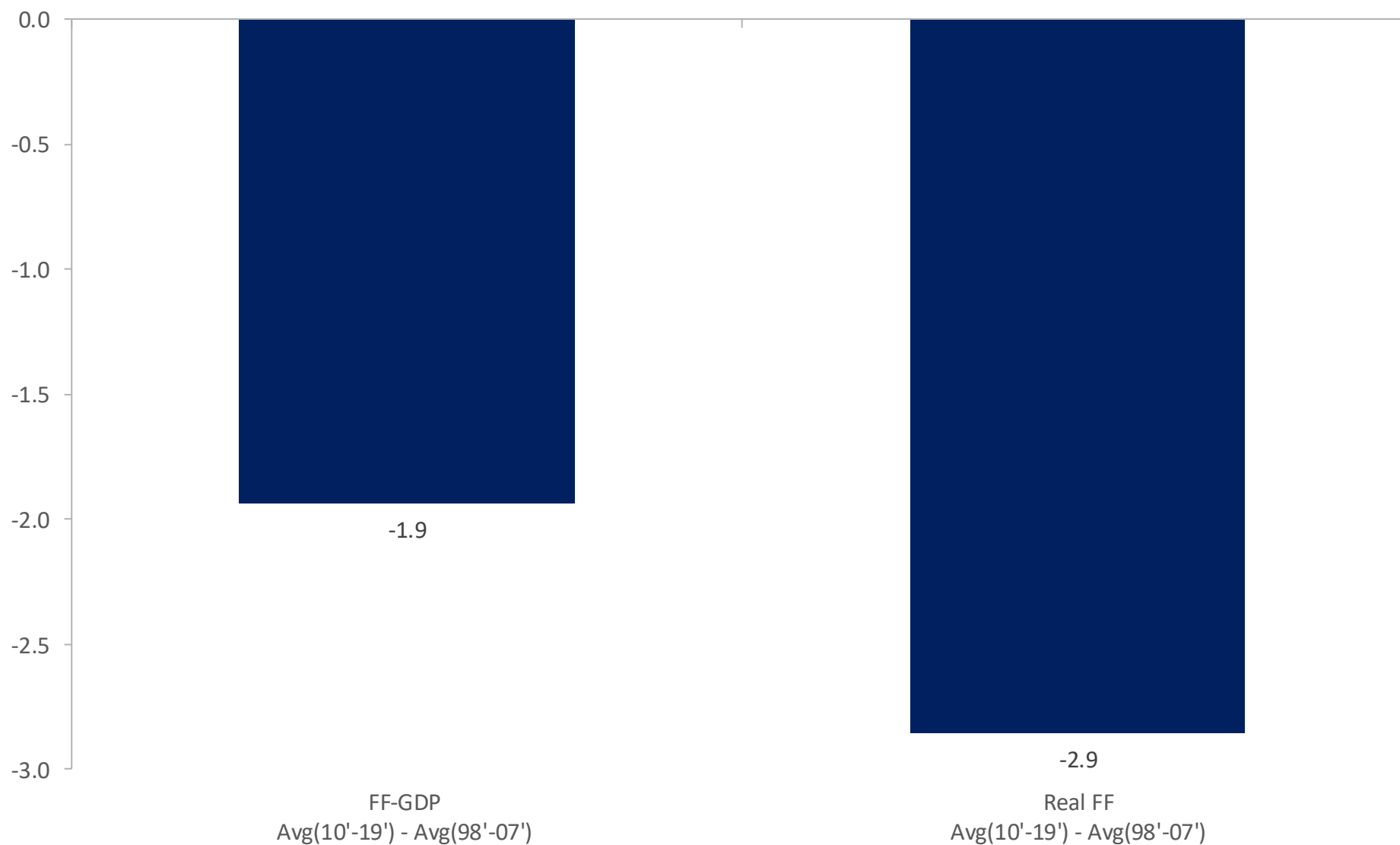


Macro portfolio	<u>Short duration</u>: short UST 10y (4.80% target; 20bp additional upside risk) <u>Higher DB TP</u>: EUR 5s10s + 20% 2s; SOFR 5s10s + 20% in 2s; EUR 10s30s + 33% 5s (15bp+ upside) <u>JGB 5s20s flattener</u>: 35bp+; upside (highest-conviction trade) <u>UST ASW 2s10s steepener</u>: 5bp upside
Structural views	(1) Fiscal policy stays structurally easy; (2) most of the post-GFC decline in neutral unwinds; (3) conditions support a secular rise in term premia; (4) BoJ behind the curve; (5) external position matters more than fiscal position for sovereign risk
USD front-end	Post-GFC fall in equilibrium policy rates was unrelated to growth. Forces depressing r^* have reversed: private-sector deleveraging vs. AI capex; fiscal restraint vs. sustained stimulus; positive supply shock (shale oil) vs. repeated negative shocks (Covid, Ukraine, Iran tariffs). r^* estimated at ~2%. Priced and increasingly accepted
EUR front-end	ECB terminal-rate pricing plausible from both a bottom-up (data) and a top-down (spread to the US) perspective. Priced, but against consensus
Term premia	Supply/demand shift and inflation risks should lift term premia. EUR 10s30s could additionally benefit from Dutch pension reform. Not fully priced; slow-moving
JGB curve	BoJ behind the curve given wages, polls and price action. Front-end now better priced. Long end cheap vs. external position. JGB flatteners. Significant upside; probably consensus
AI and risks to the view	<i>Textbook impact of AI</i>: higher capex and productivity; higher rates <i>Tail risks of AI</i>: (1) boom/bust; (2) significant AI-driven job losses. However, inflation ultimately driven by policy not technology — “inflation is always and everywhere a monetary phenomenon.” <i>Other risks</i>: (1) US fiscal tightening after midterms; (2) Iran war resolution materially lowers oil prices (positive supply shock)

Global military expenditures would need to rise by 1–2% of GDP to reach the levels observed during the Cold War



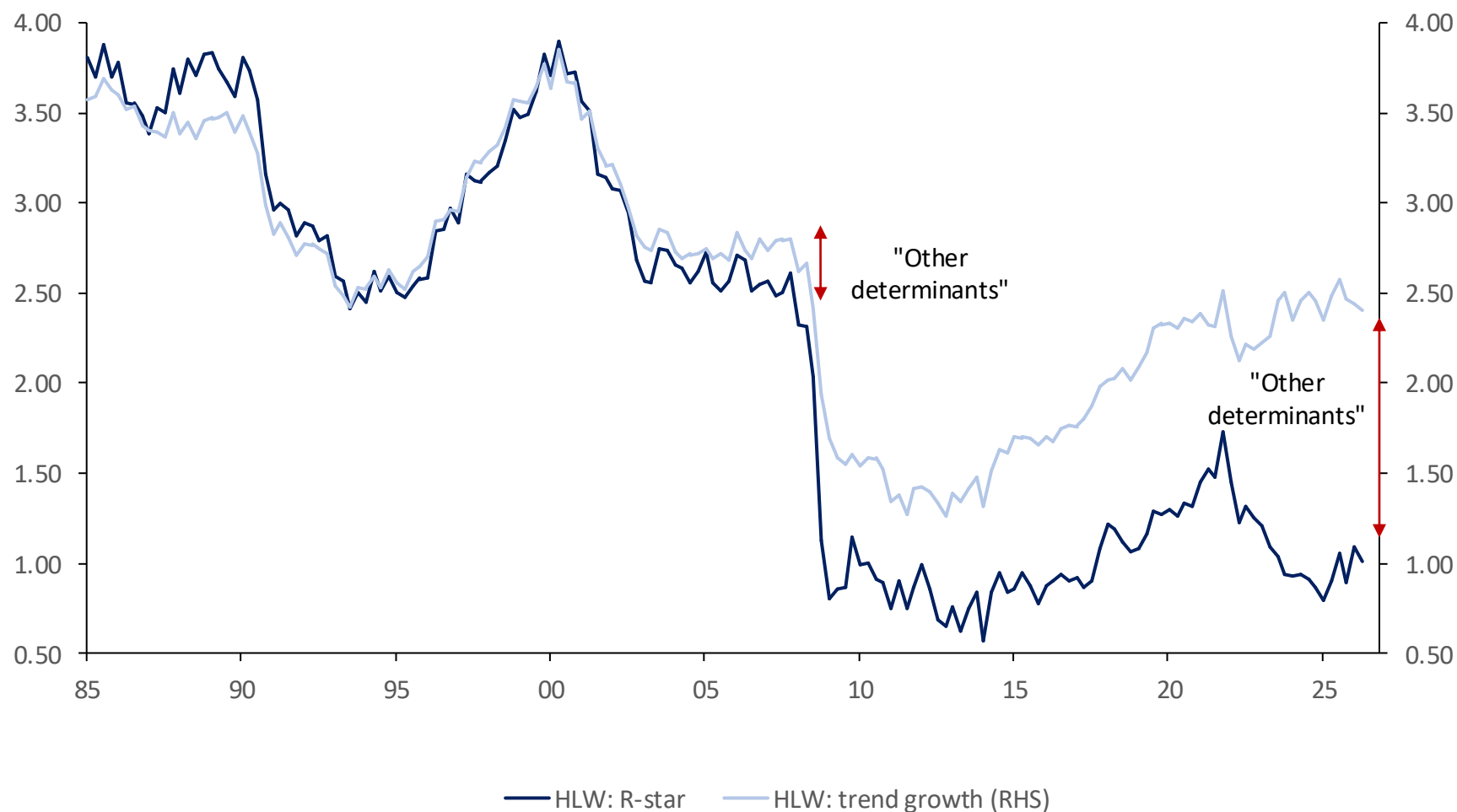
Most of the post-GFC decline in equilibrium rates is unrelated to growth



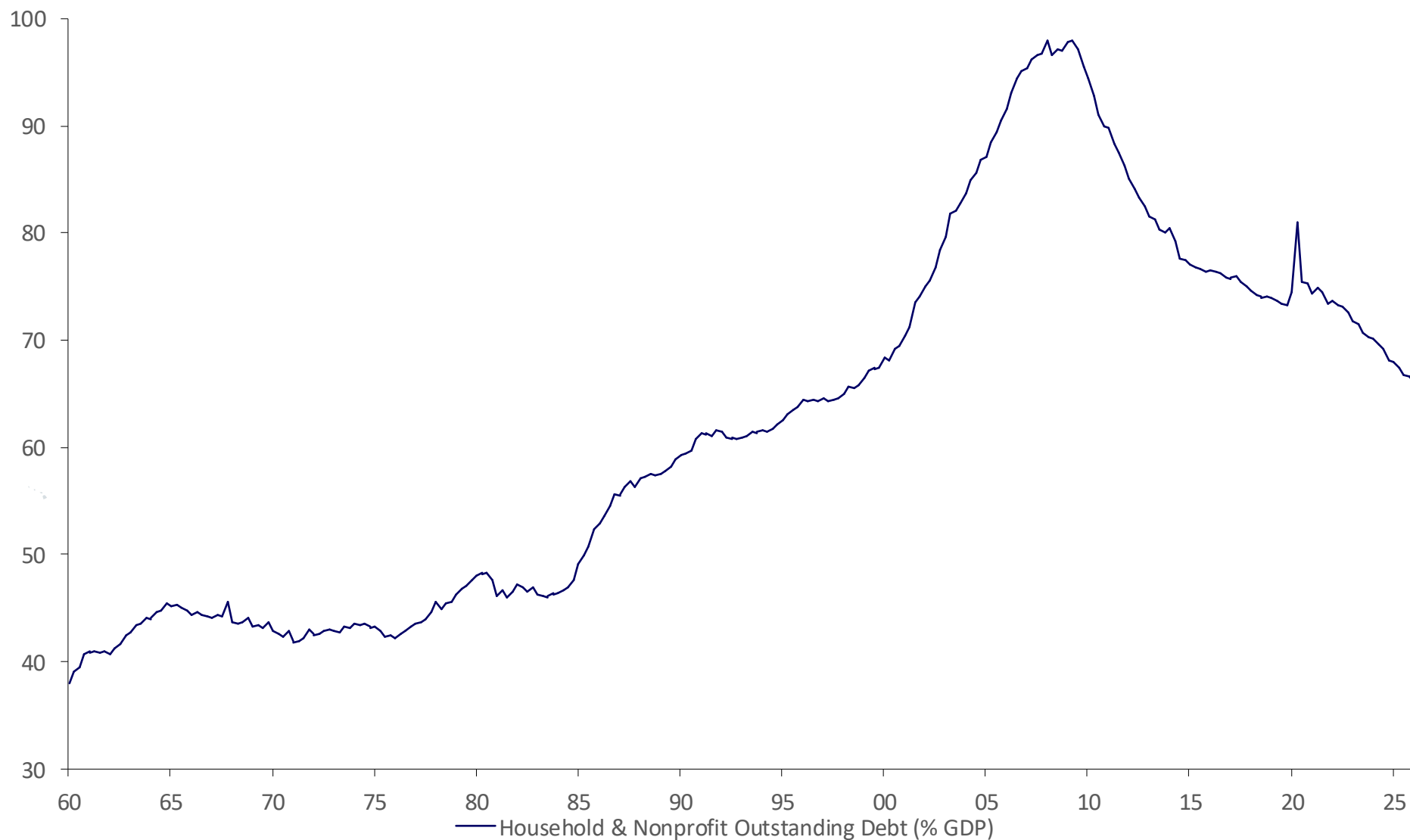
R^* is not the same as potential growth



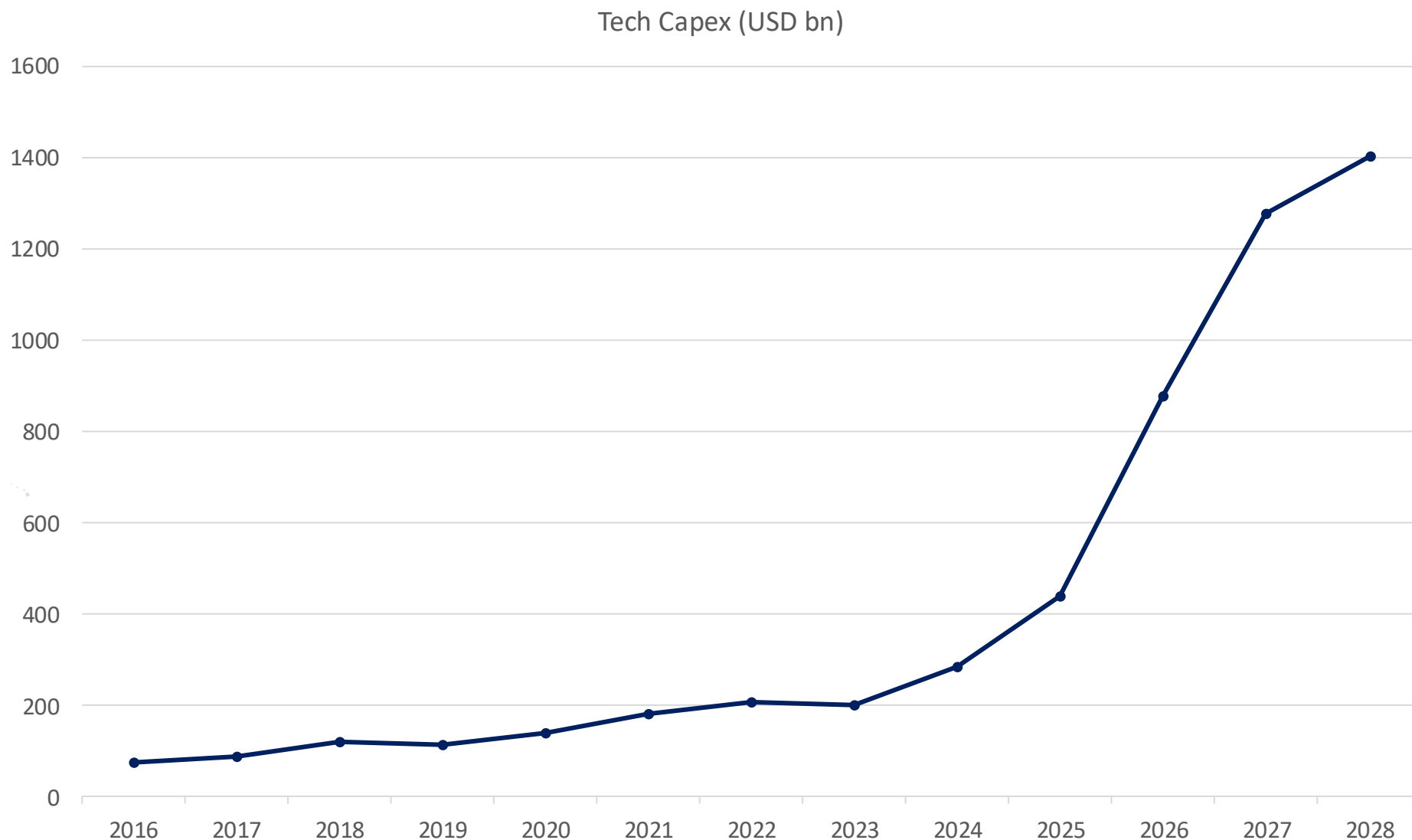
Decomposition of r^* for the US



Households have significantly reduced their leverage



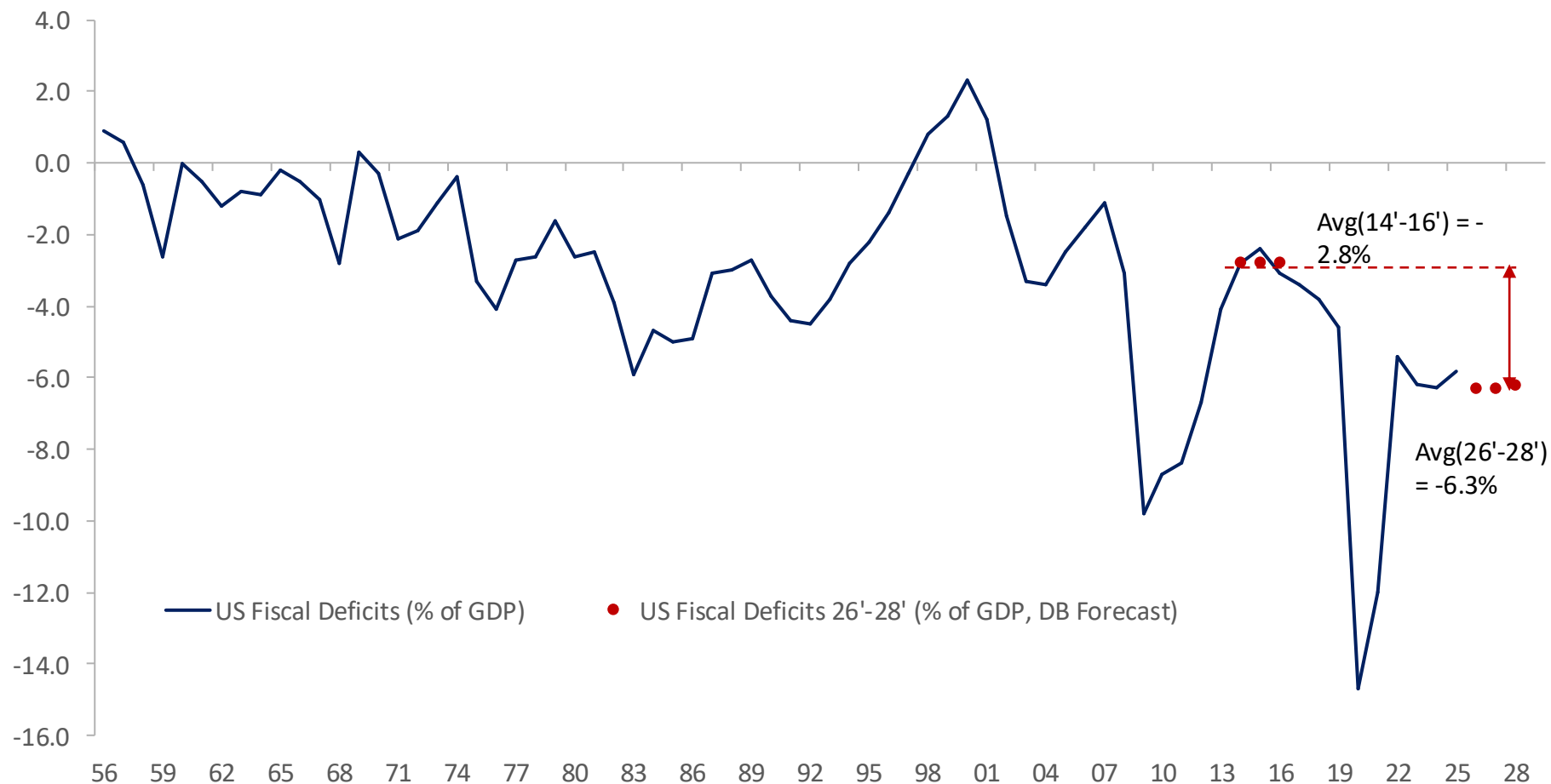
Significant AI-related capex by corporates



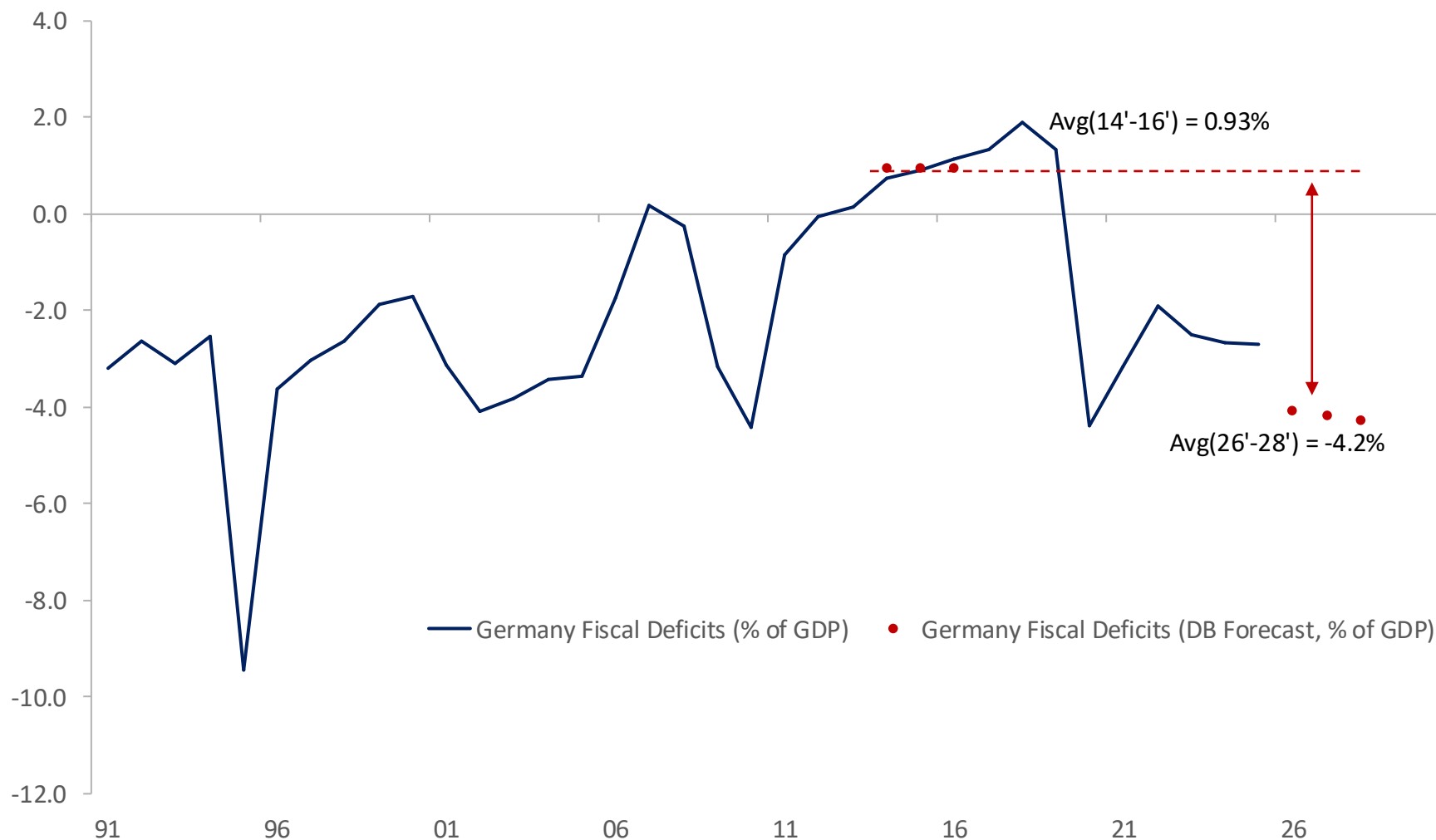
In the US, the 2011 debt ceiling led to deficits falling to less than 3% by 2014



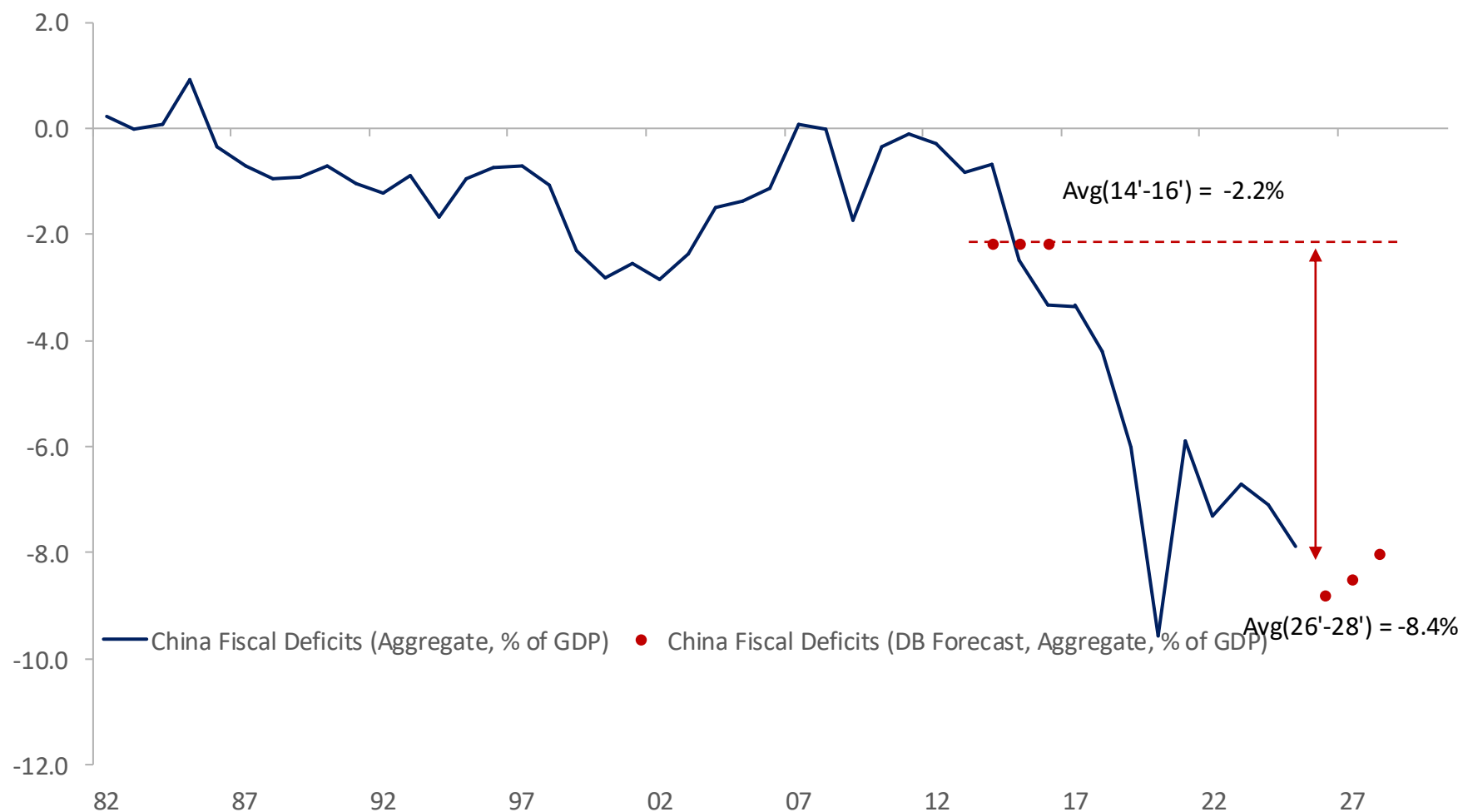
US Fiscal Deficits (% of GDP)



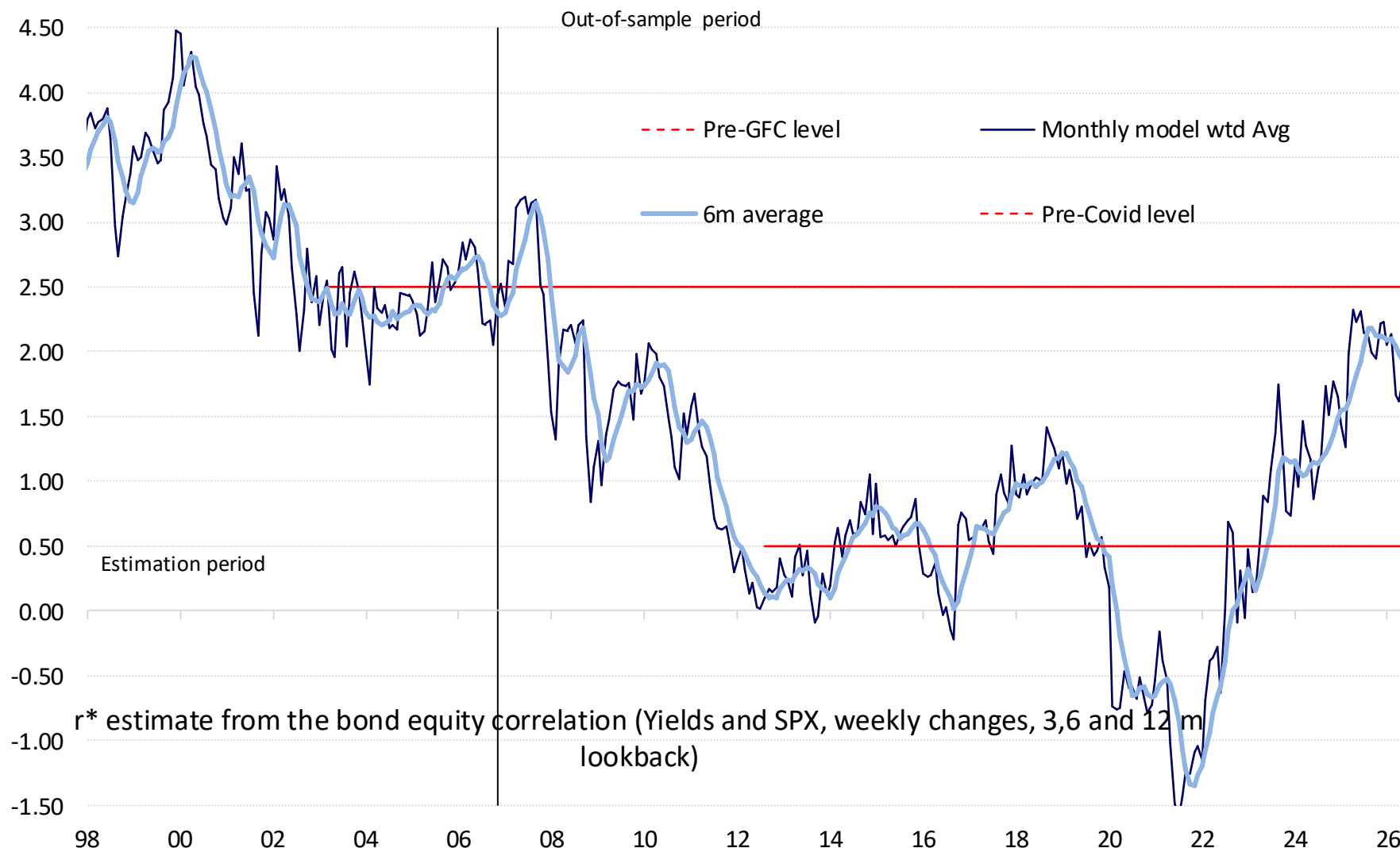
Germany is likely to use its fiscal capacity domestically



China has also significantly larger deficits



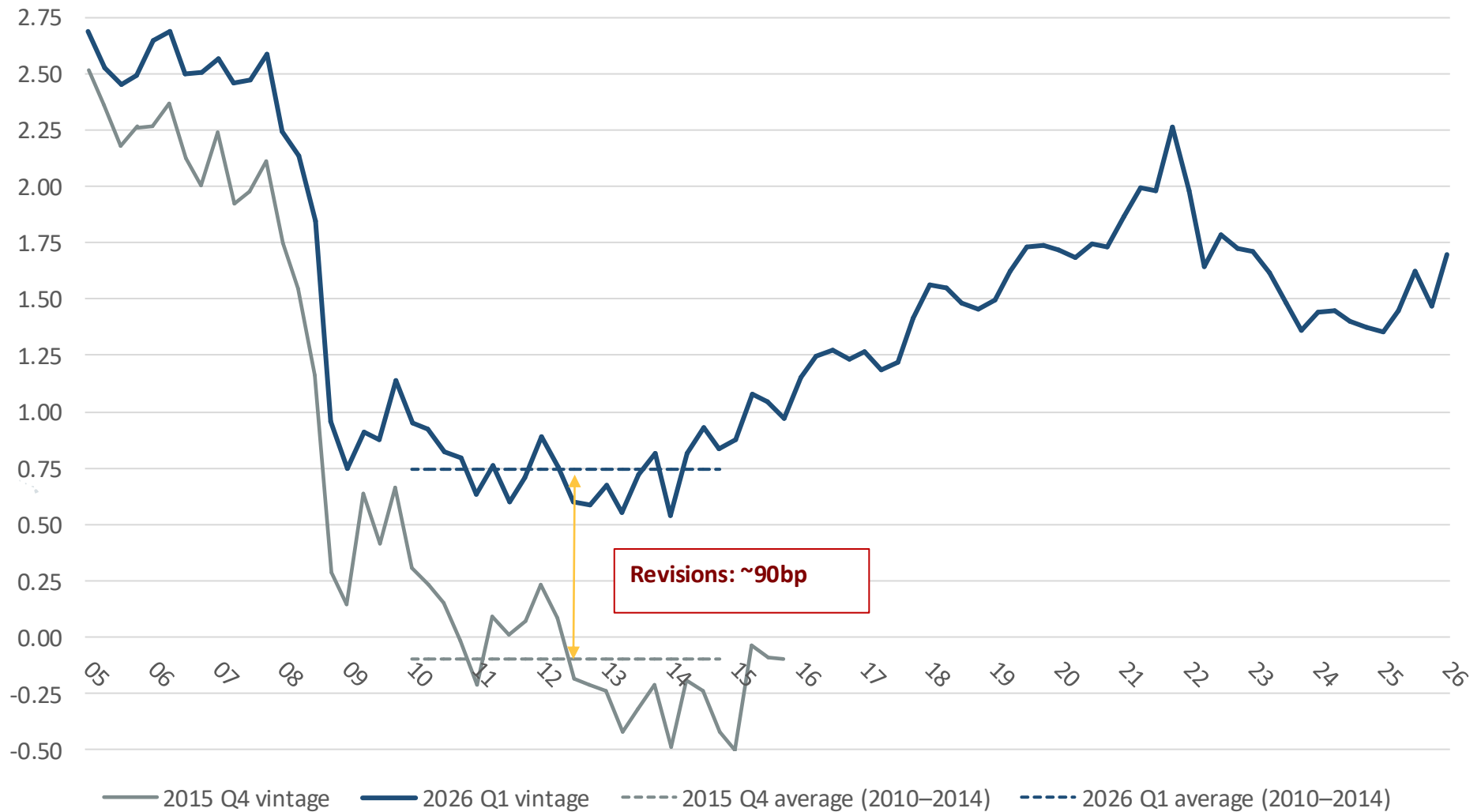
Bond/equity correlation indicates that r^* has unwound most of the post-GFC decline



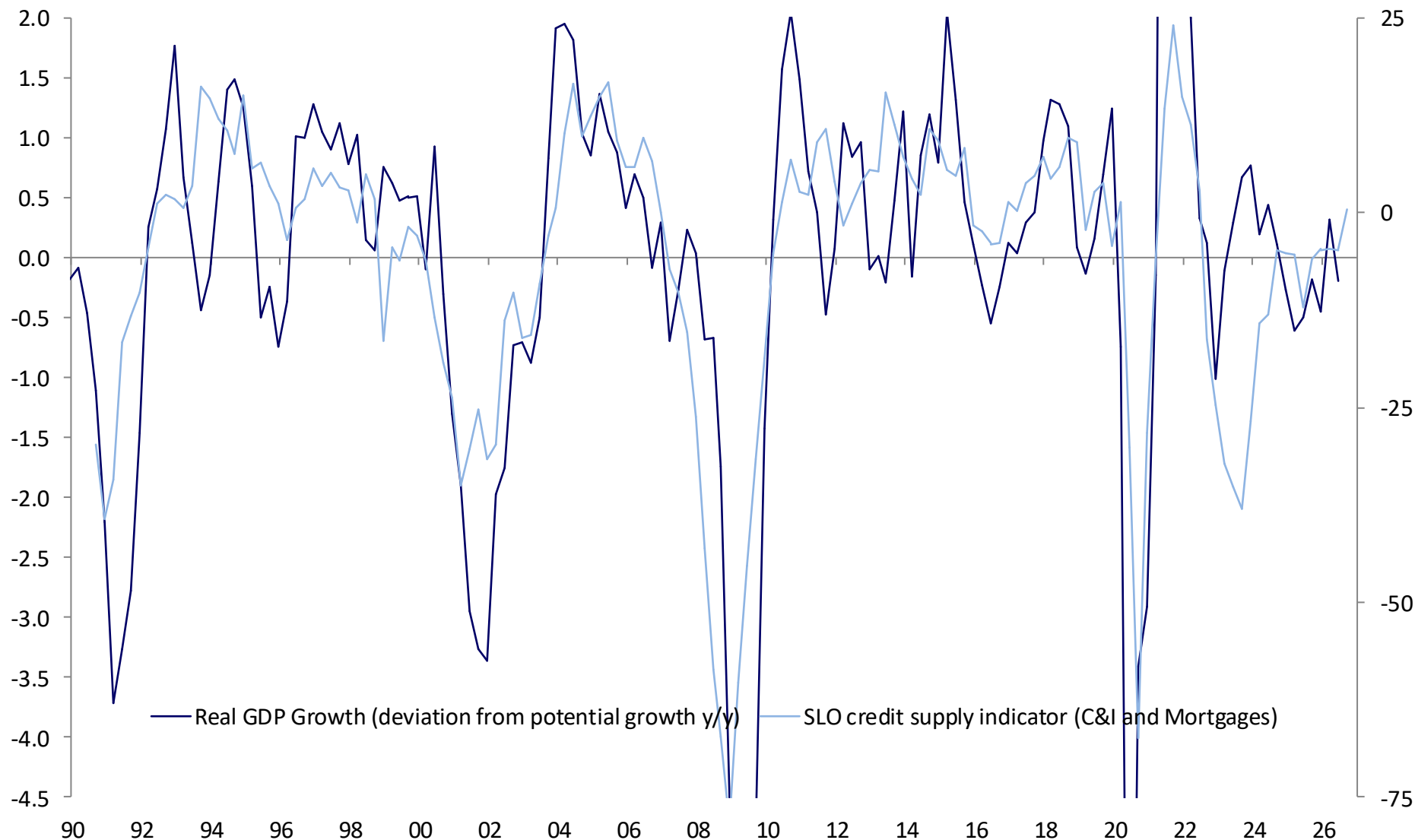
Beware of excessive certainty on the level of neutral



LW R-star estimates: 2015 Q4 and 2026 Q1 vintages



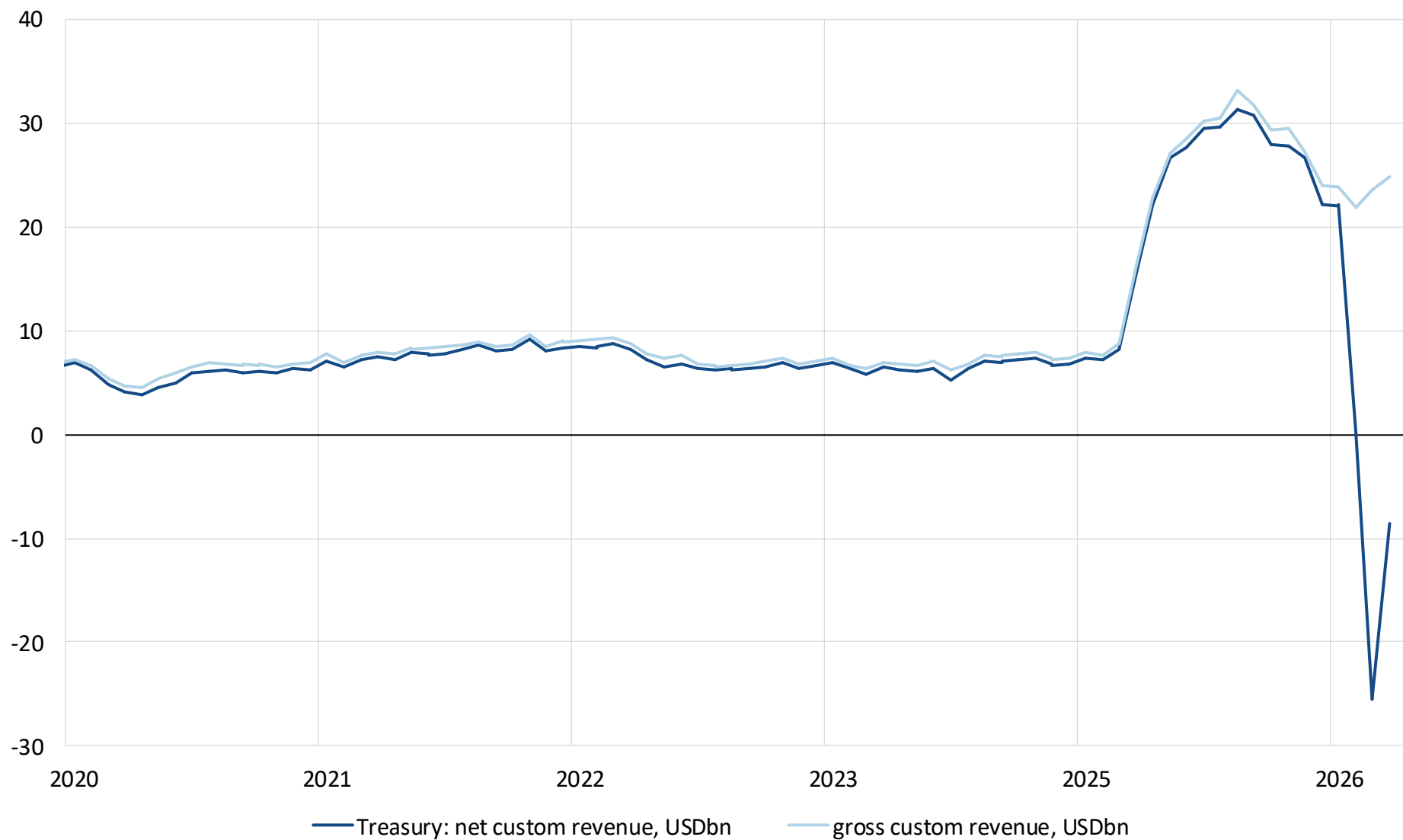
SLO is consistent with the US economy growing slightly above potential and monetary policy being slightly easy



BBB credit spreads confirm that monetary policy is unlikely to be tight



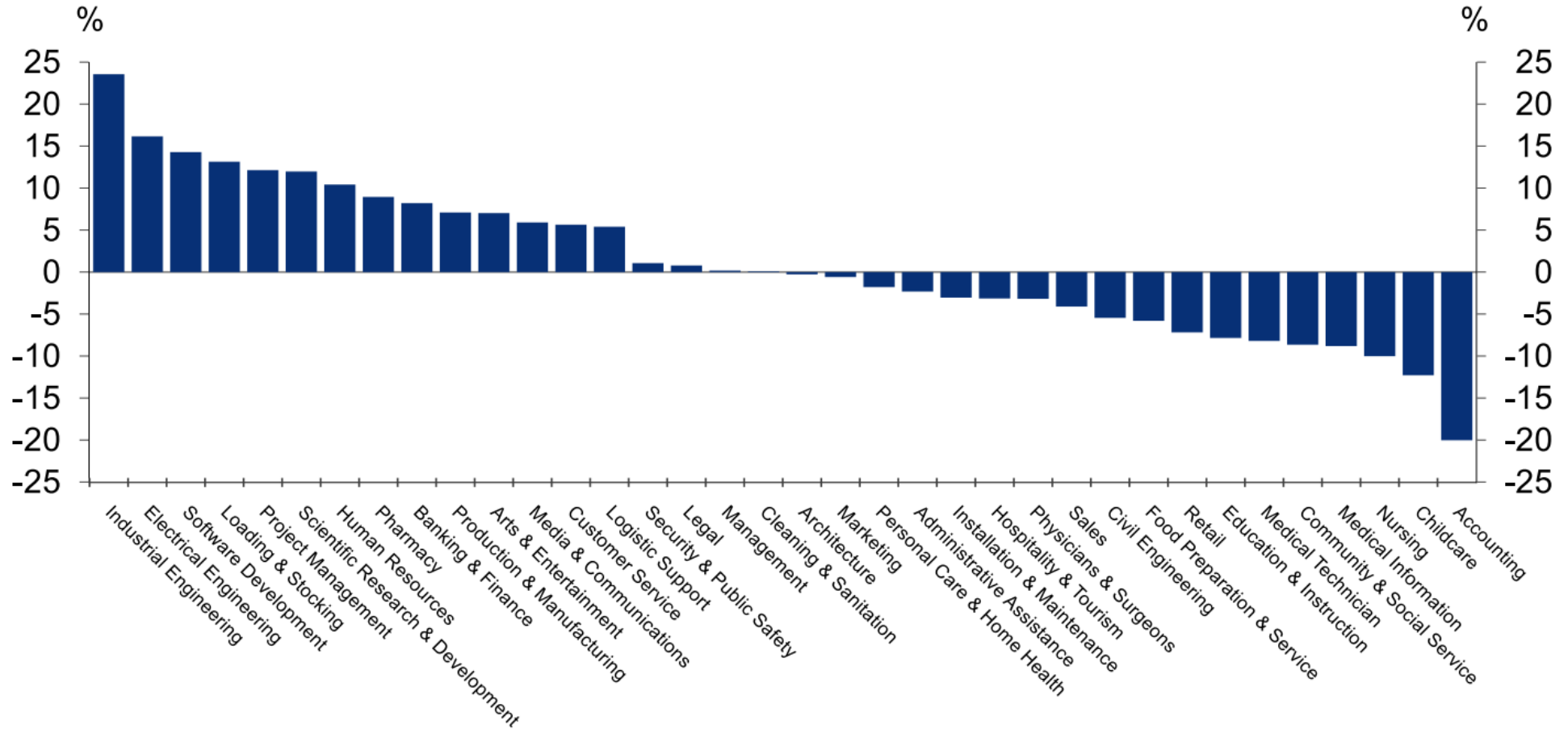
Tariffs turn into a temporary fiscal stimulus



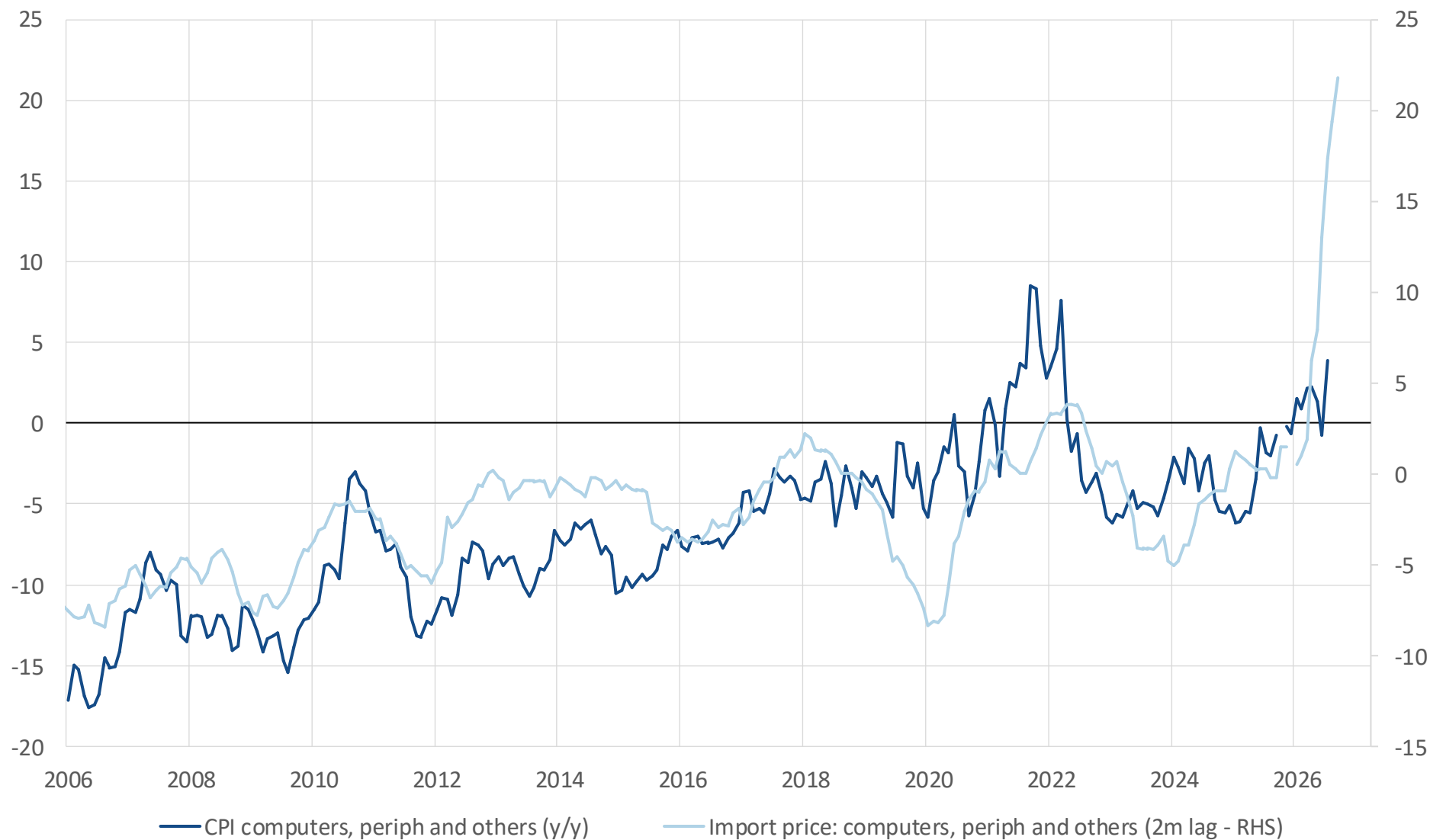
AI is not yet impacting the labour market



Year-over-year change in job postings (data as of 31/Jul/2026)



AI is impacting inflation



Sahm rule adapted to jobless claims far from trigger point



Threshold (%)*	Equivalent level (k)	No. of trades	Hit ratio (%)	Avg. excess return	Sharpe ratio
3.27	205.5			<<< <i>Current Level</i>	
7.45	213.8	41	73	1.65	0.36
14.1**	227.1	27	56	2.24	0.36
16.26***	231.4	19	68	2.88	0.43
22.78	244.3	11	82	2.83	0.57

* % of 4-week average initial claims above past 12-month minimum

** DB Econ threshold of economic recessions

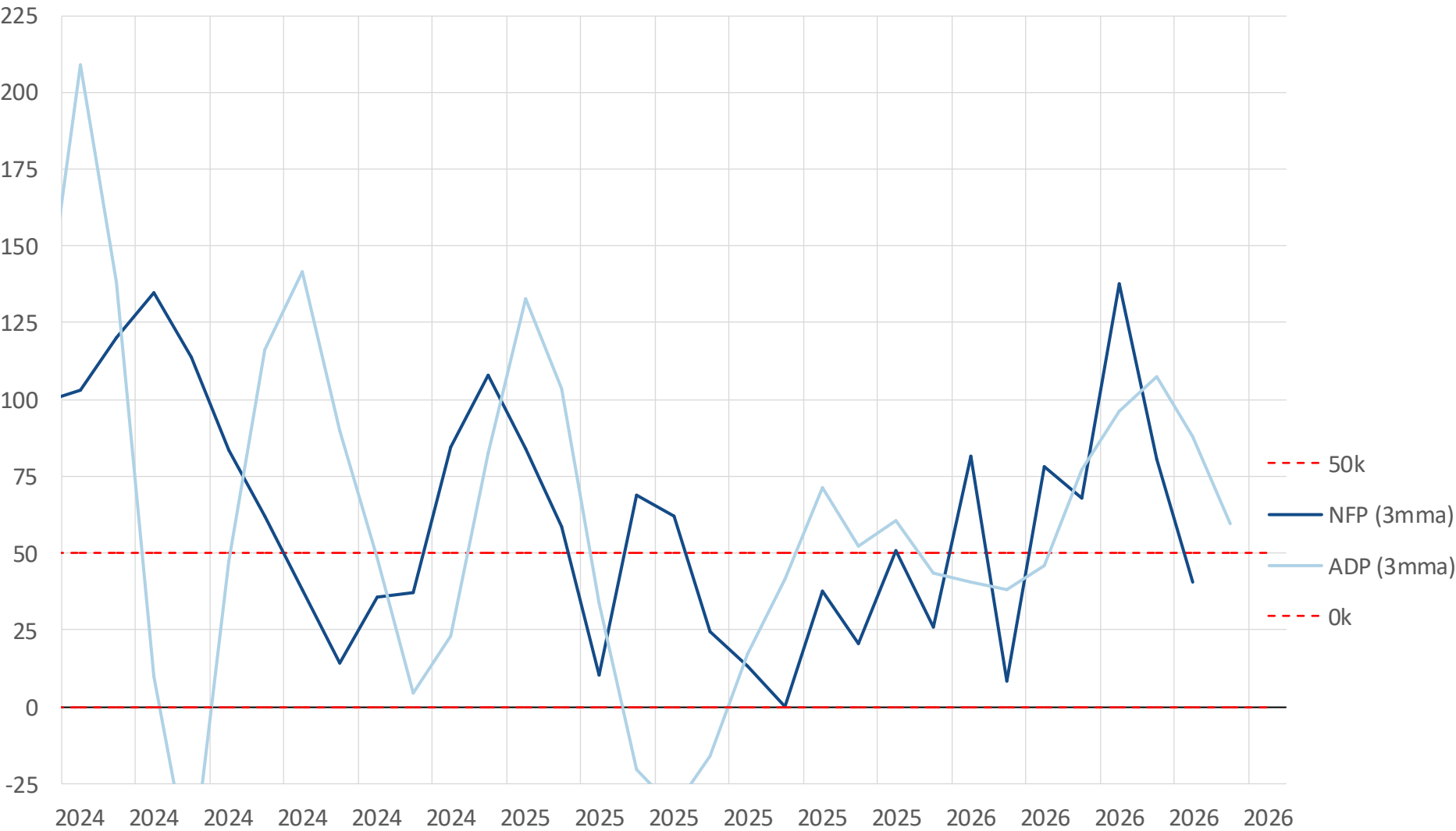
*** Optimal trading threshold

Threshold (%)*	Equivalent level (k)	No. of trades	Hit ratio (%)	Avg. excess return	Sharpe ratio
1.14	1778			<<< <i>Current Level</i>	
4.70	1841	75	56	1.49	0.29
9.10	1918	43	60	1.84	0.35
11.50**	1960	28	68	3.62	0.62
15.61	2032	25	84	2.83	0.76

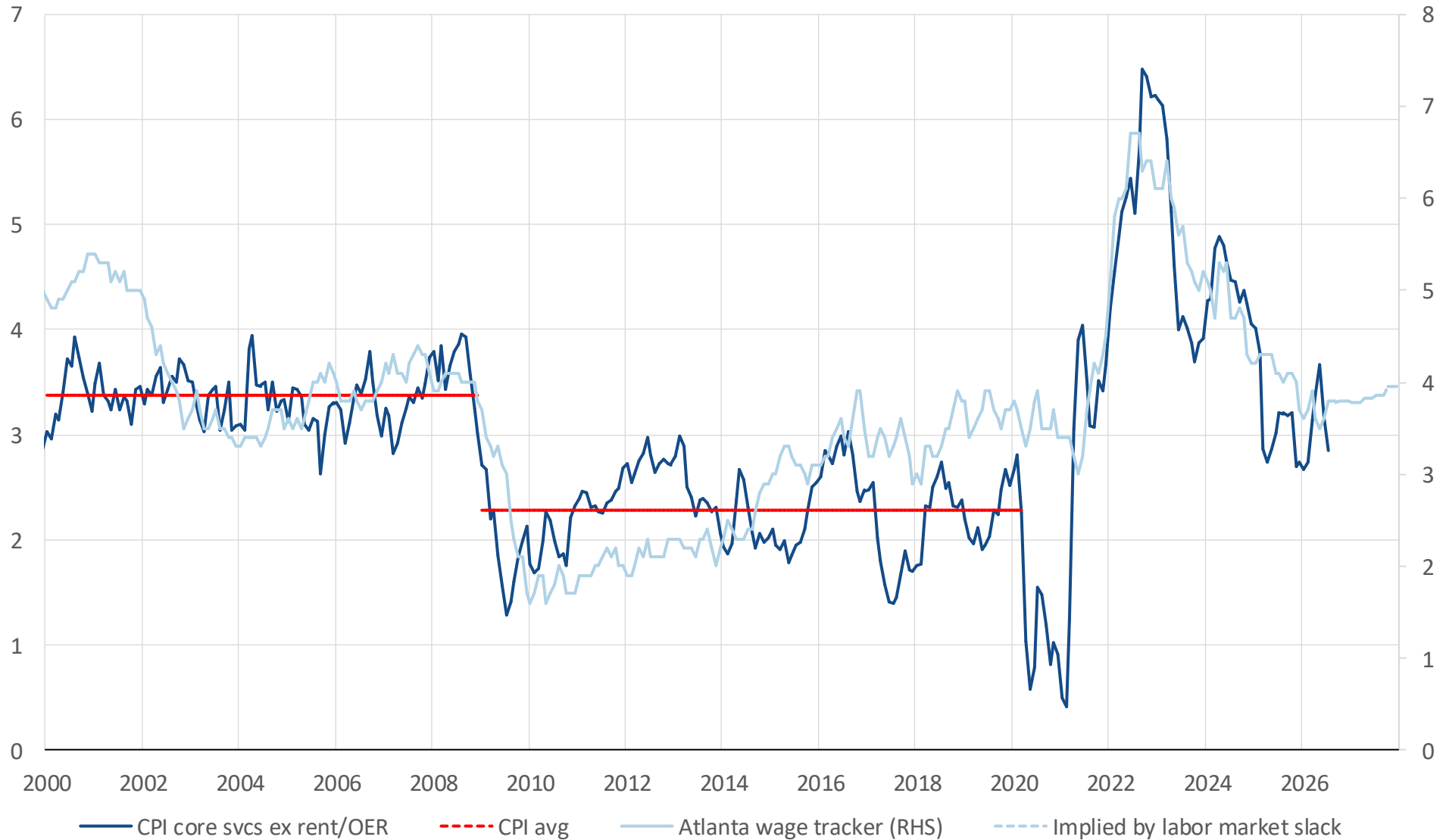
* % of current continuing claims above past 12-month minimum

** DB Econ threshold of economic recessions & optimal trading threshold

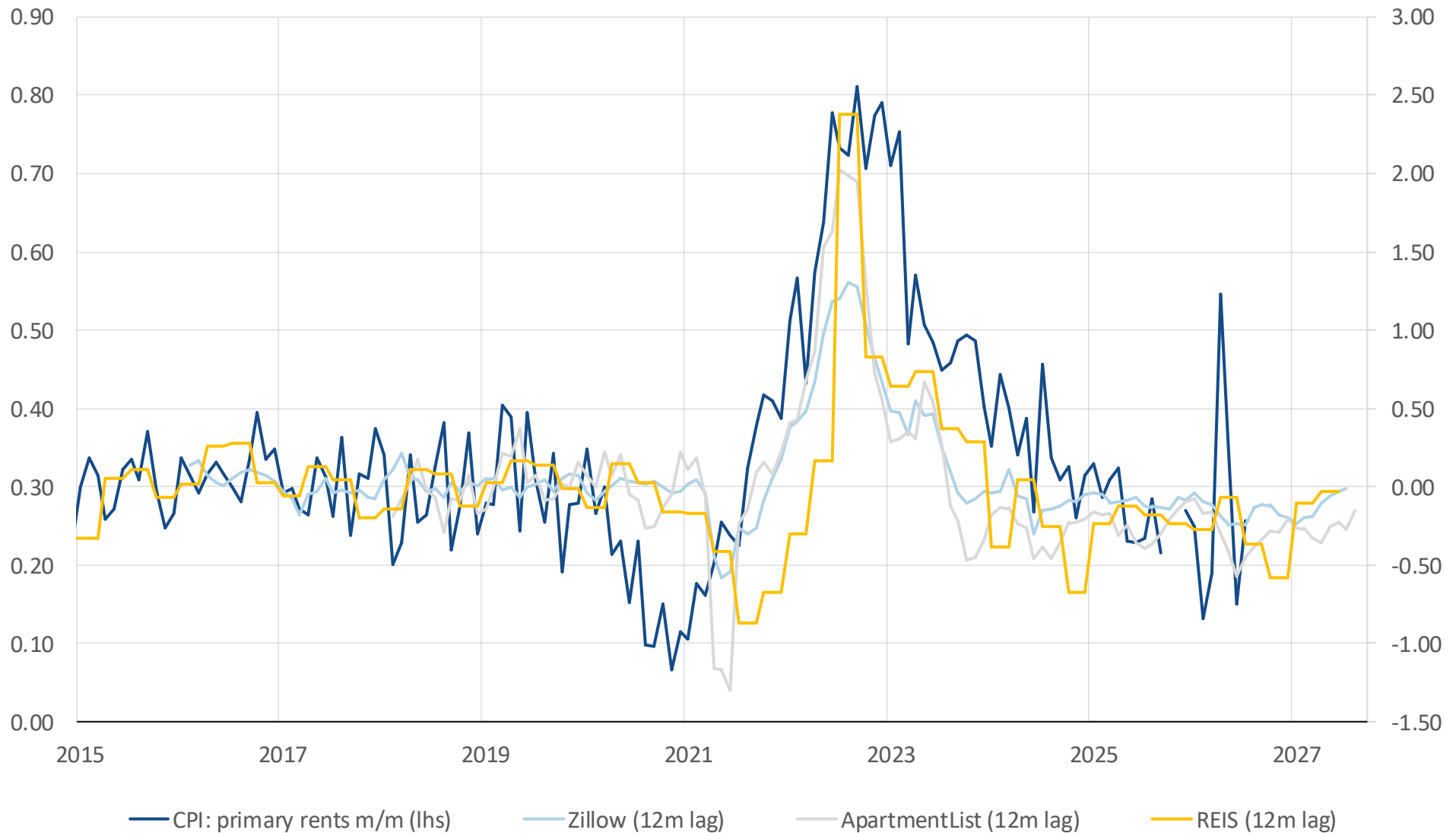
In the US, job data close to estimated break-even rates



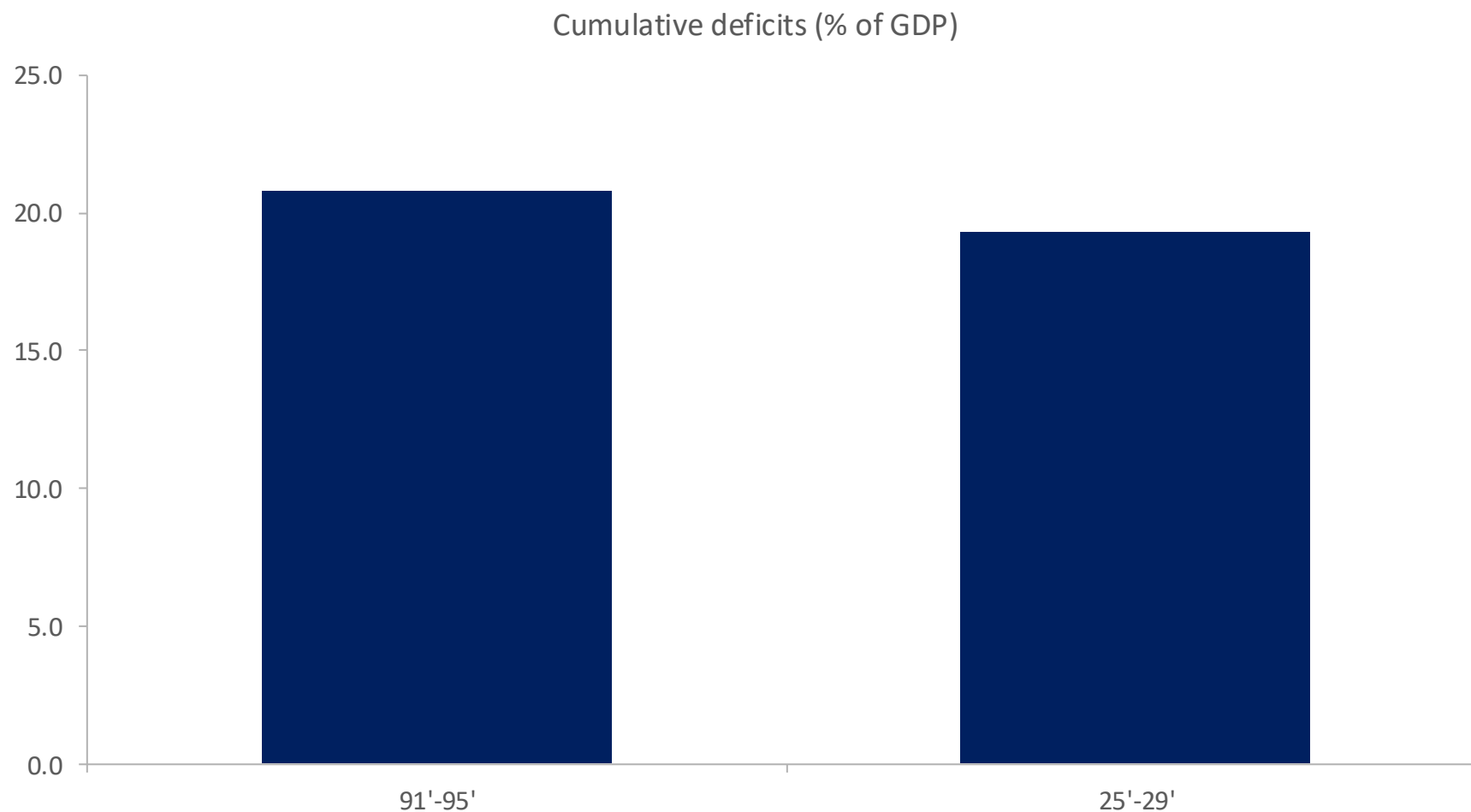
US inflation likely to be stickier than post-GFC



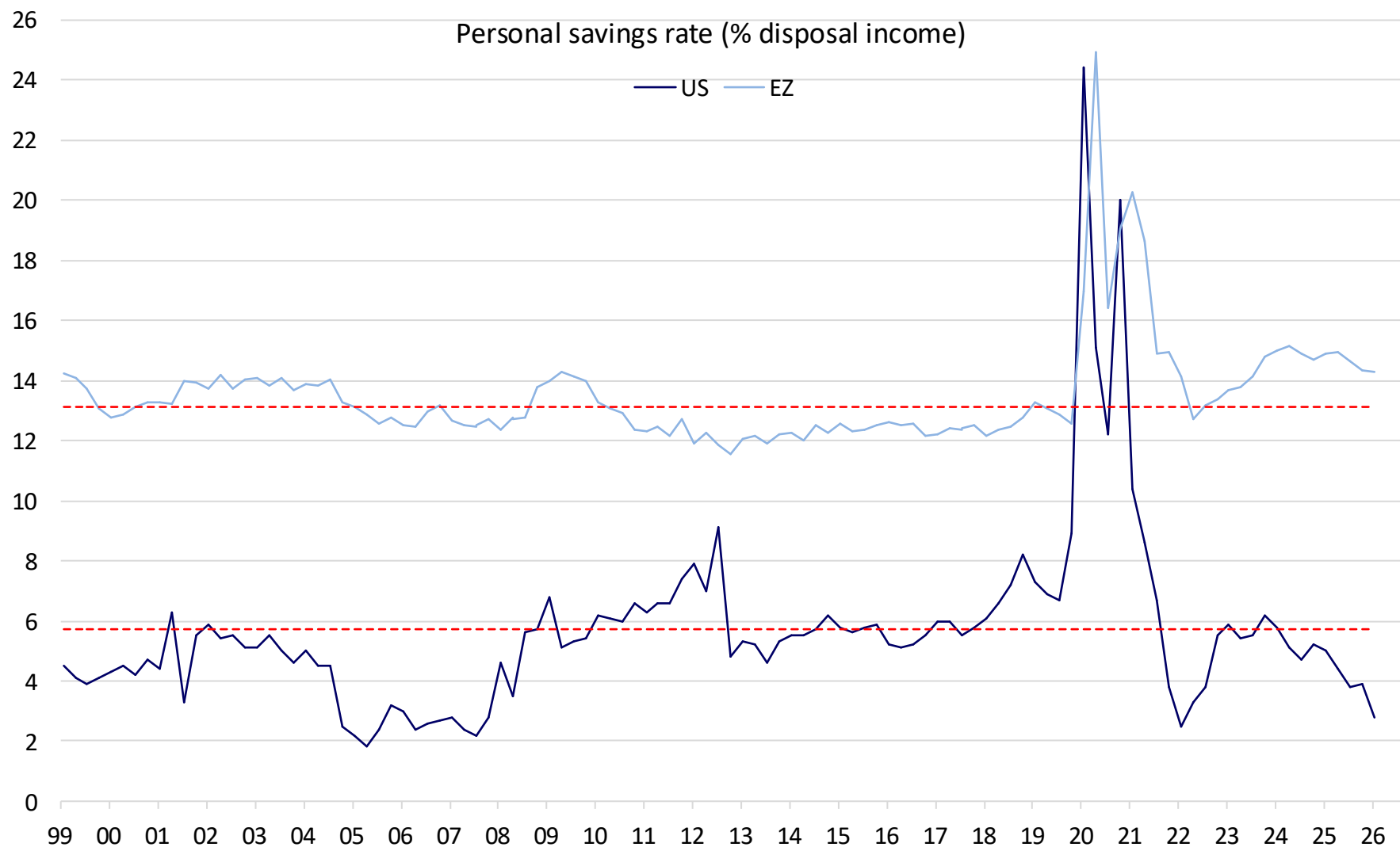
Reduced downside risks for CPI rents



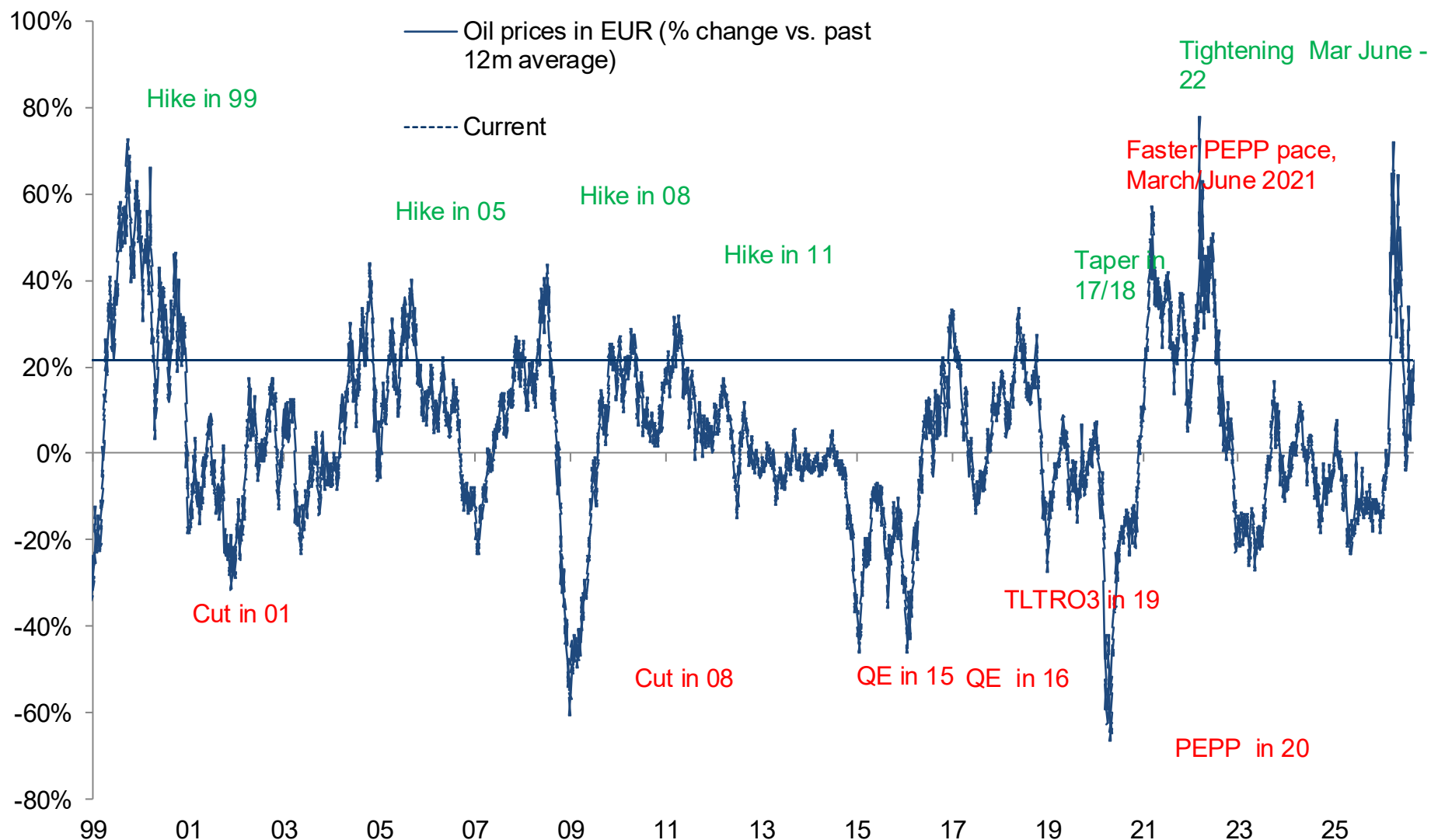
German stimulus comparable to the early 1990s



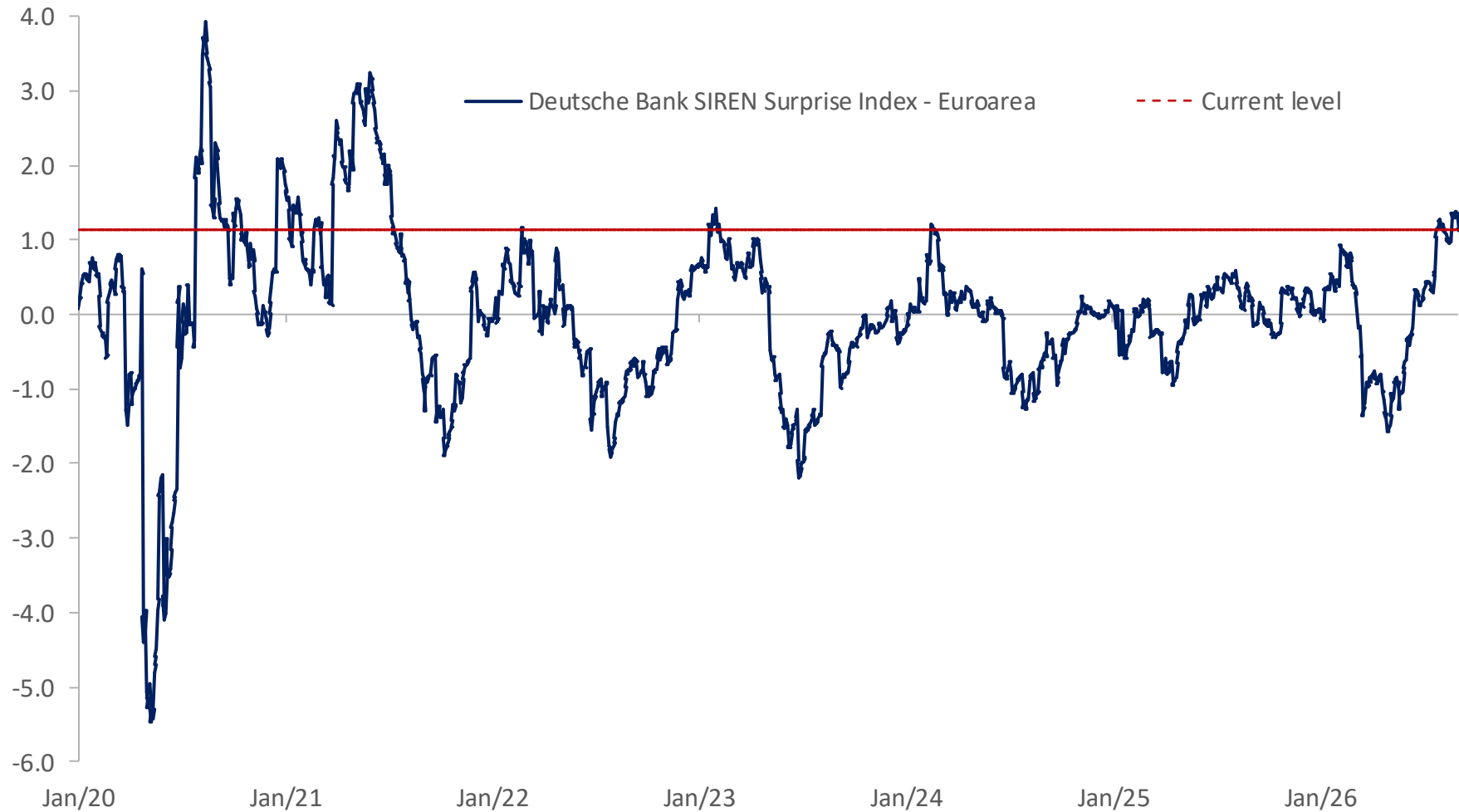
Unlike in the US, European consumers have not dipped into their savings



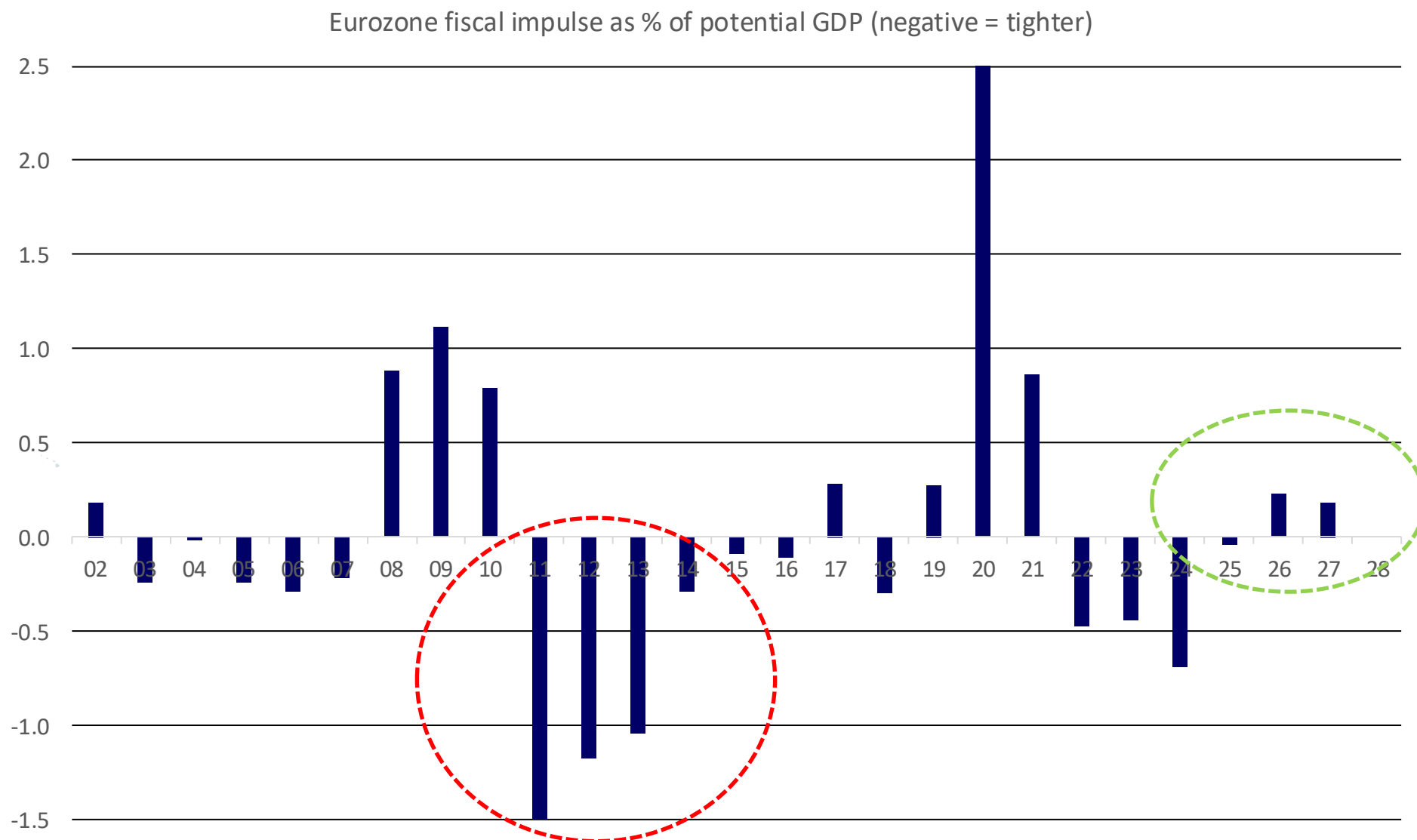
Oil prices and the ECB



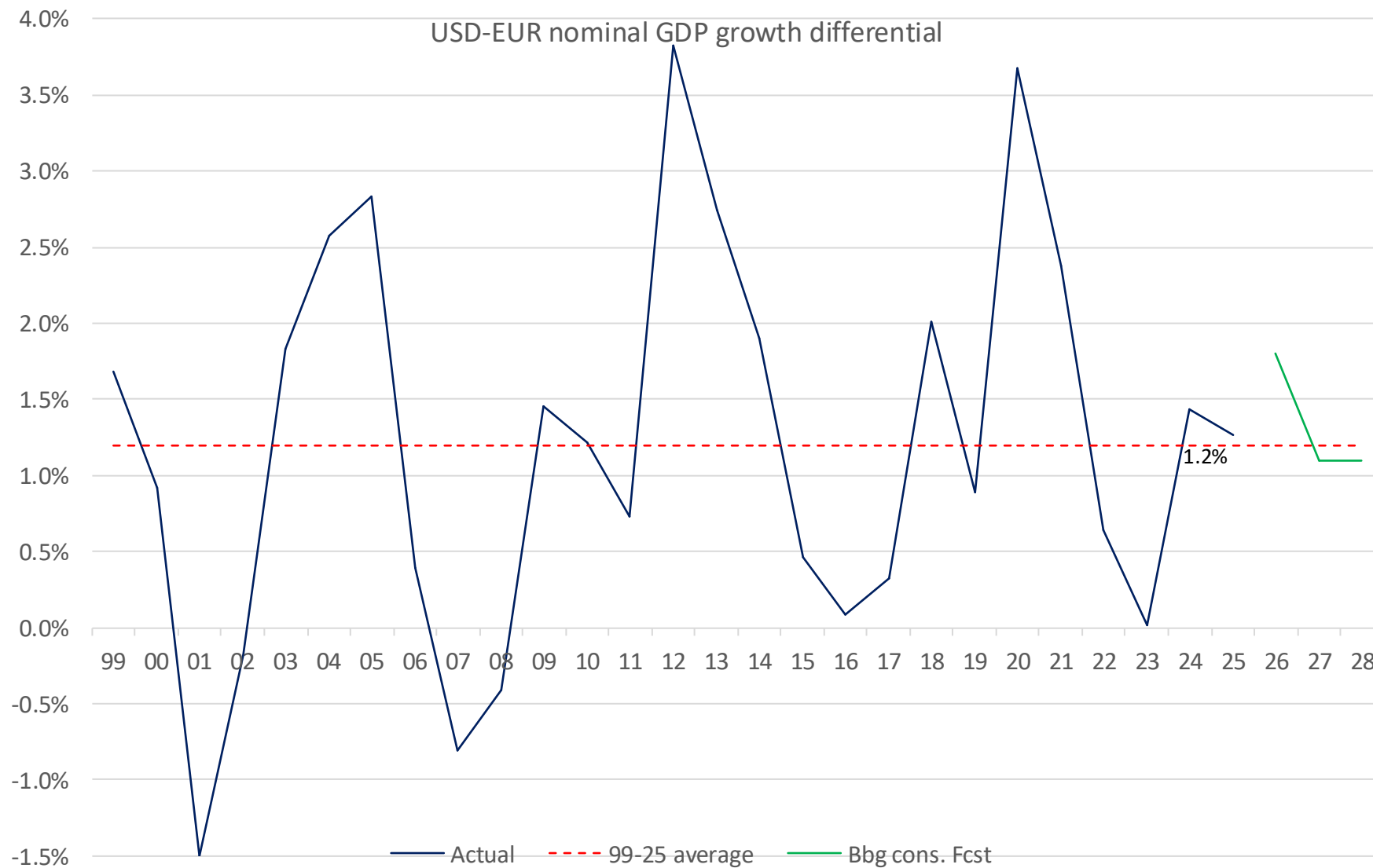
EZ growth has been more resilient than consensus expectations



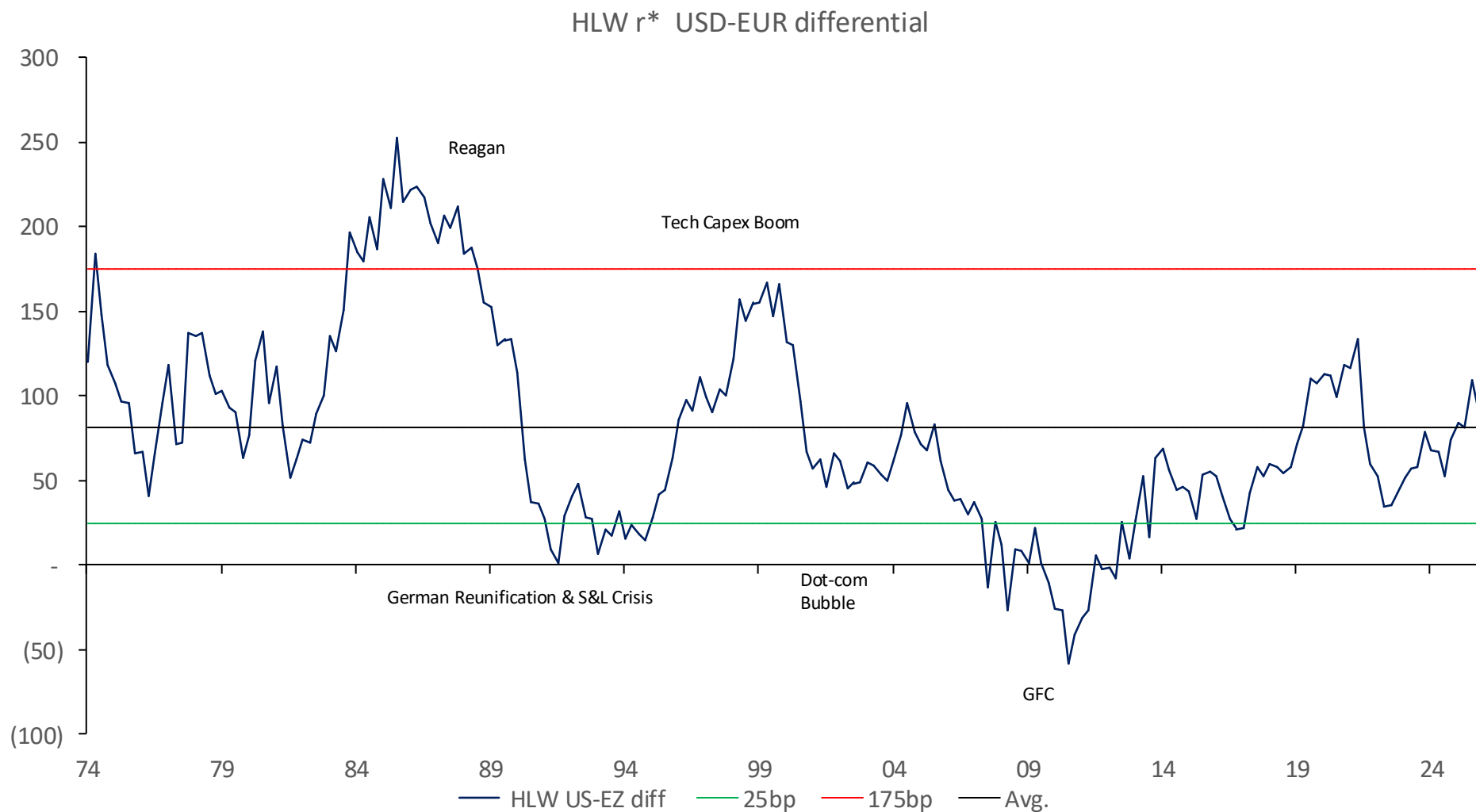
The fiscal outlook is drastically different than in 2011



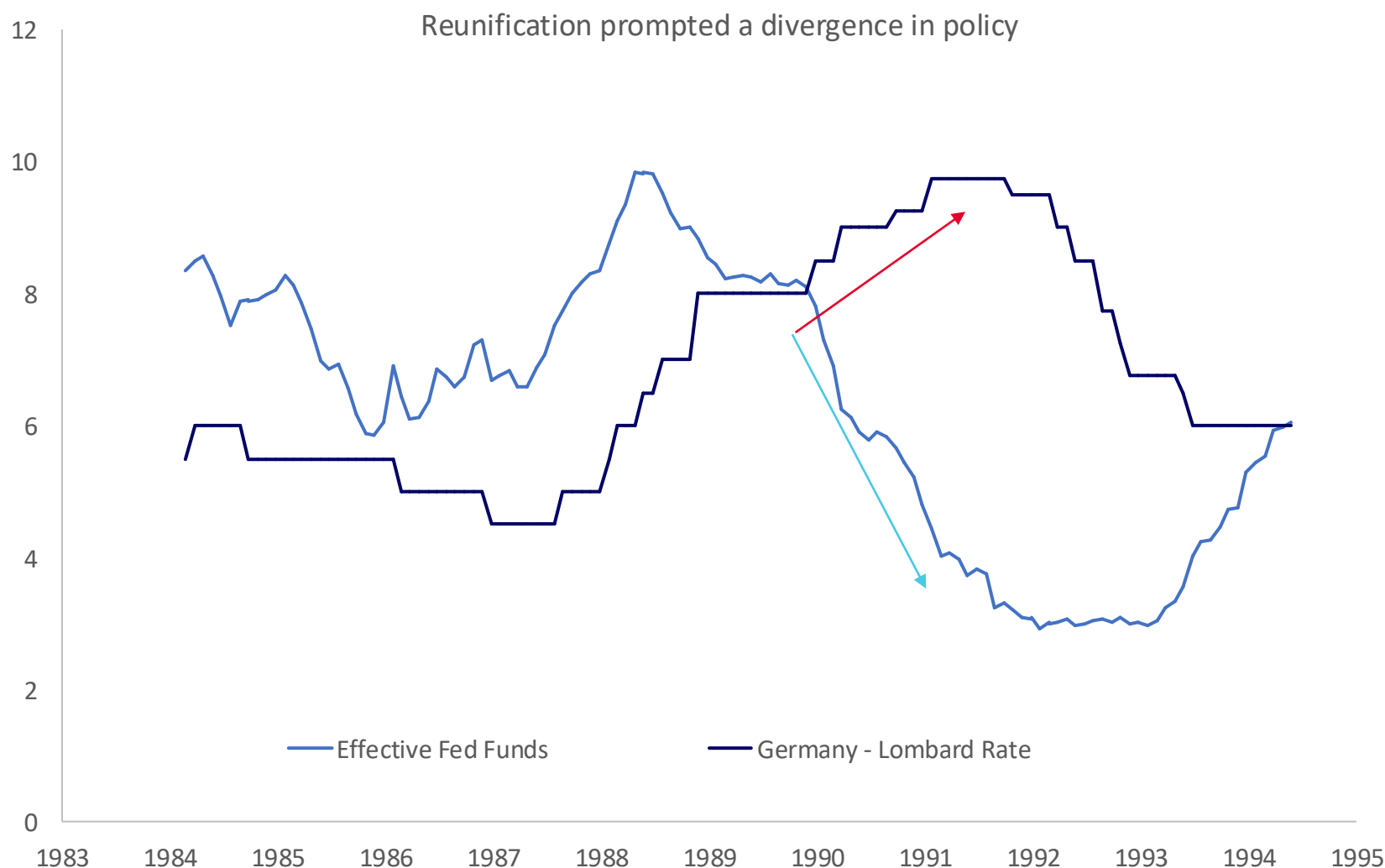
The US/EZ growth differential averaged ~125bp historically and is expected to do so in the future



A 125-150bp terminal rate differential with the US is plausible



In the early 1990s, the Bundesbank hiked its policy rates by more than 1%, even though the Fed was easing aggressively

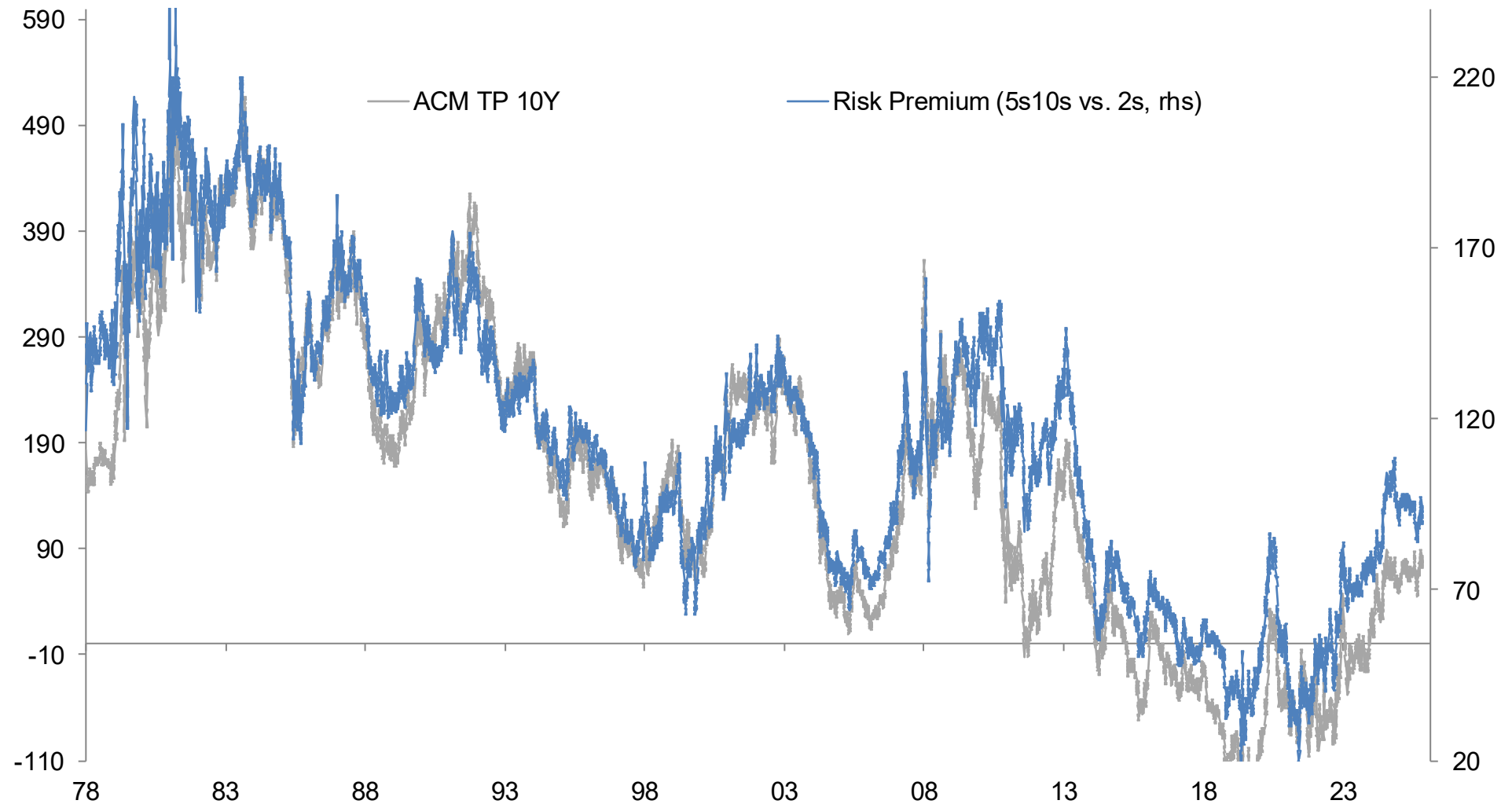


Defining the term premium

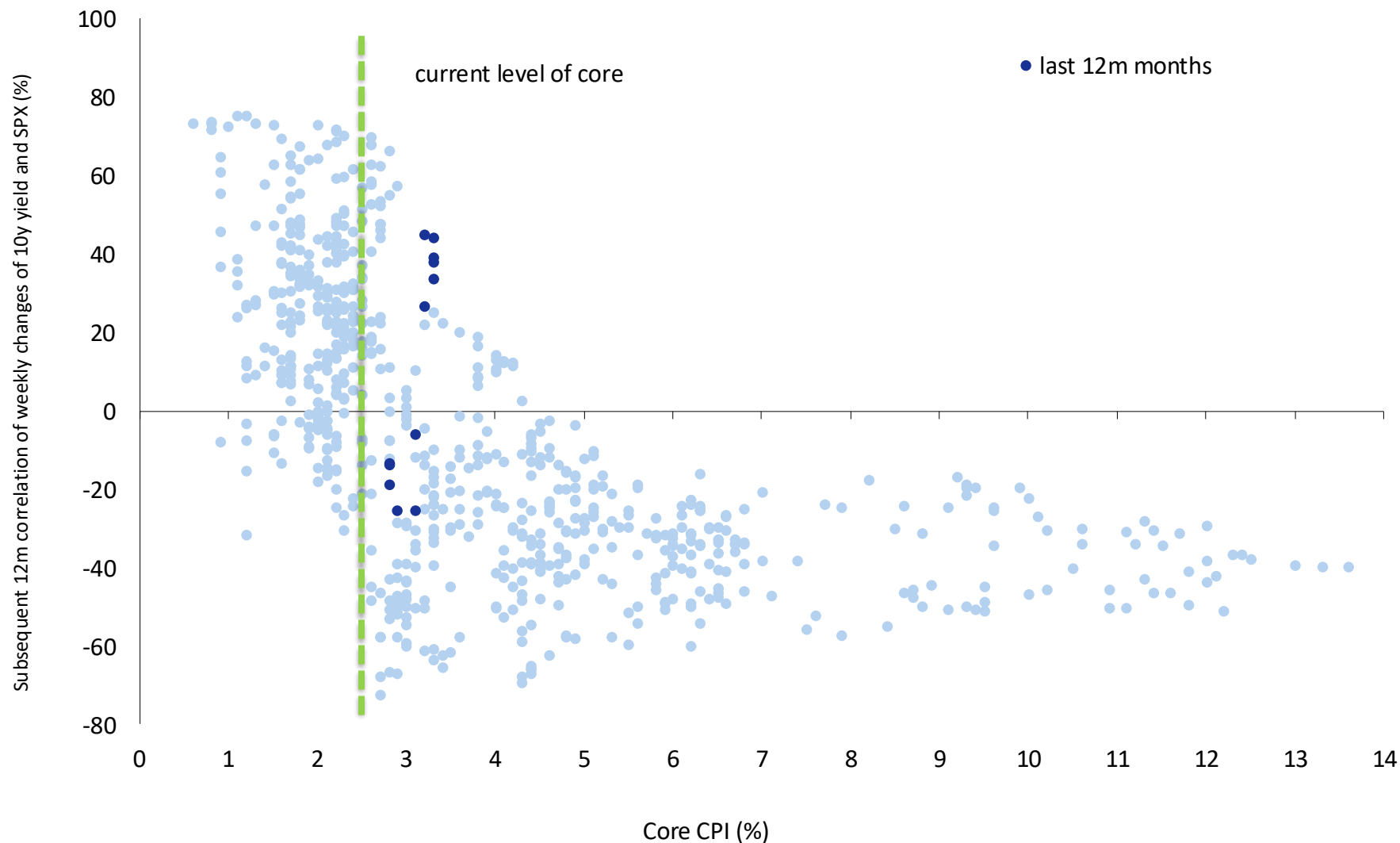


- The 5s10s slope should be determined by three key drivers
 - *Monetary policy relative to neutral*: tighter monetary policy leads to flatter curve
 - *Inflation risks*: higher inflation risks lead to a steeper curve as bonds become less of a hedge for risky assets
 - *Supply/demand factors*: Behaviour of price-insensitive participants, i.e. QE (monetary policy), FX reserves (FX policy), ALM/banks (regulation), issuance (fiscal policy)
- To adjust for the monetary policy cycle, we beta hedge with a 20% short in 2y
 - This is justified theoretically by the decomposition of the 5s10s into 2y, 2y3y and 5y5y components
 - $5s10s = 0.5 * 5y5y - 0.5 * (0.4 * 2y + 0.6 * 2y3y)$
 - $5s10s + 0.2 * 2y = 0.2 * 2y3y + 0.5 * (5y5y - 2y3y)$
- Defining the DB TP as 5s10s + 20% 2s
 - Removes the directionality with monetary policy
 - It is a tradable
 - It should be a function of three key drivers
 - $5s10s + 20\% 2s = a + b \text{ nominal neutral} + c \text{ inflation risks} + d \text{ supply/demand}$

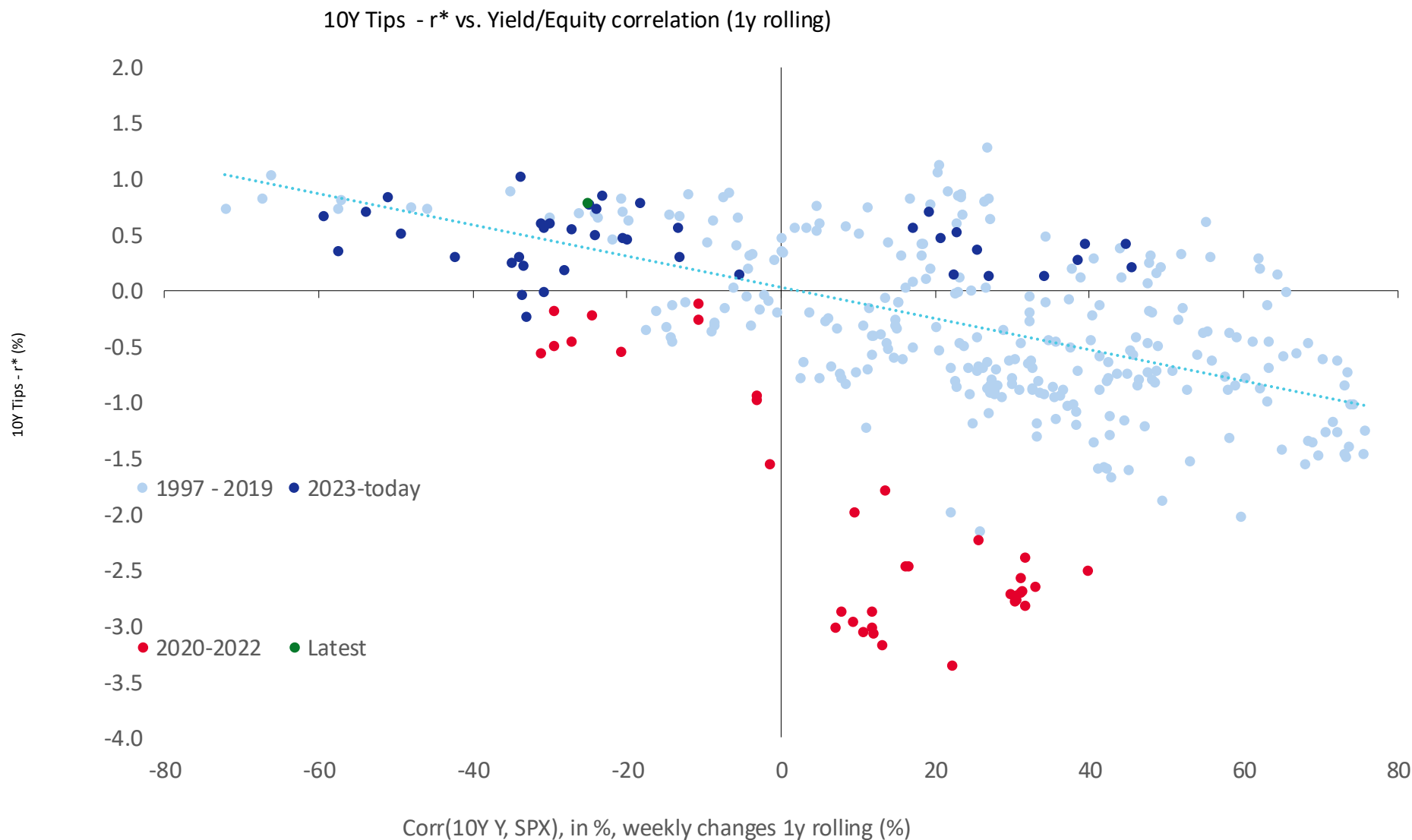
The DB TP has tracked the ACM TP



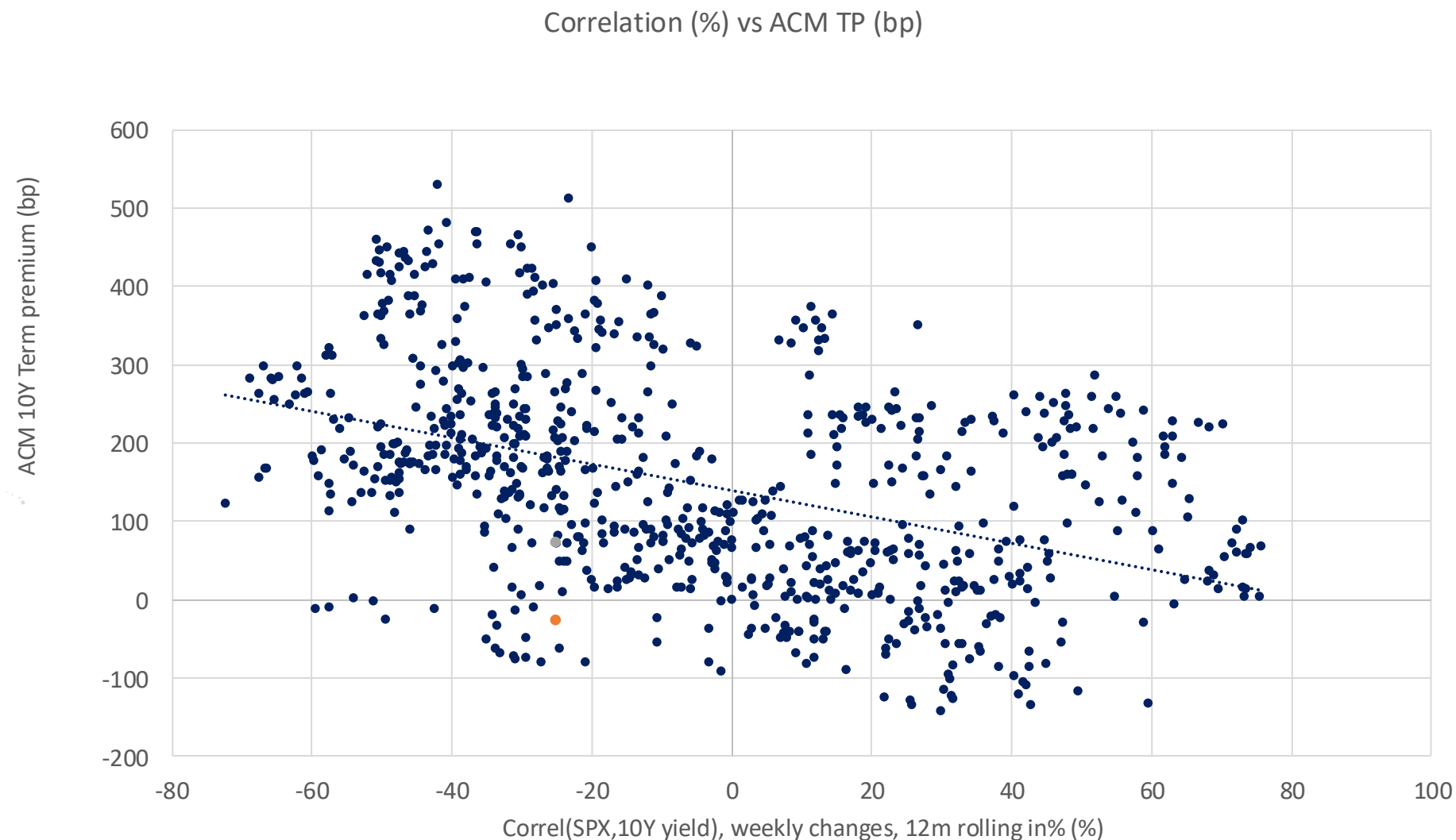
Bonds are not a good hedge for equities in higher inflation environments



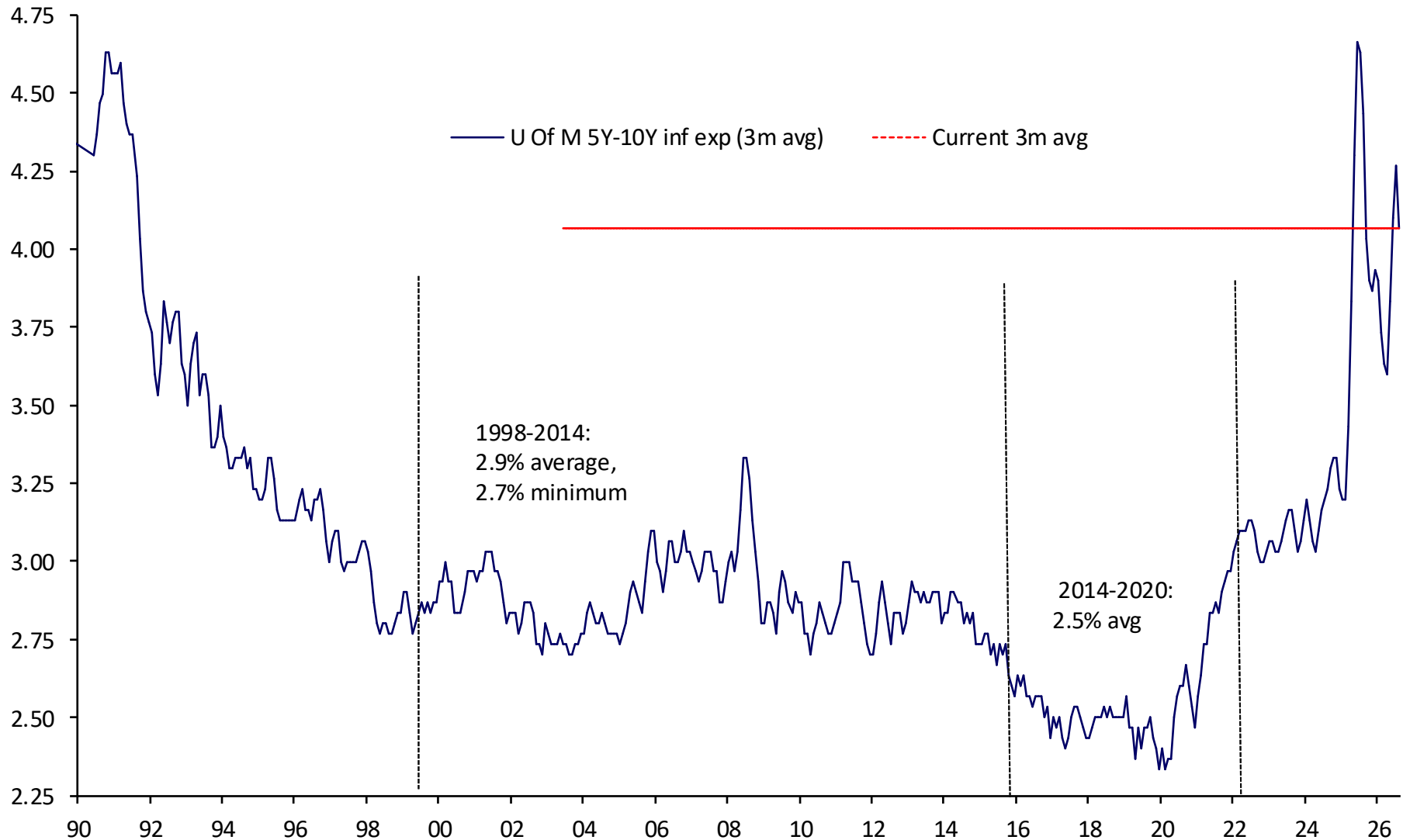
10Y TIPS real yields are above r^* when bonds are not a good hedge for equities



The ACM term premium is higher when bonds are not a good hedge for equities



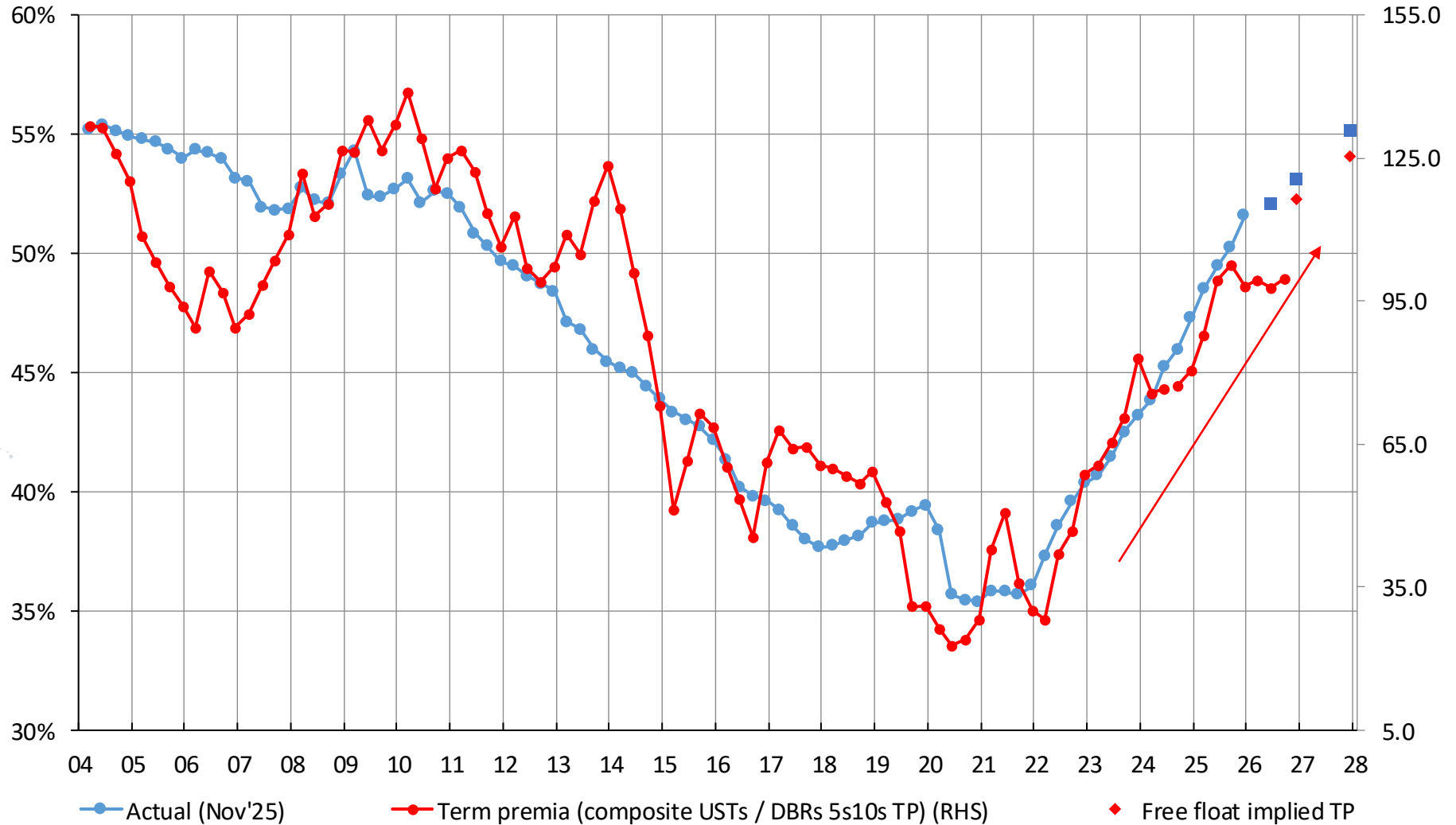
Long-term inflation expectations at multi-decade highs



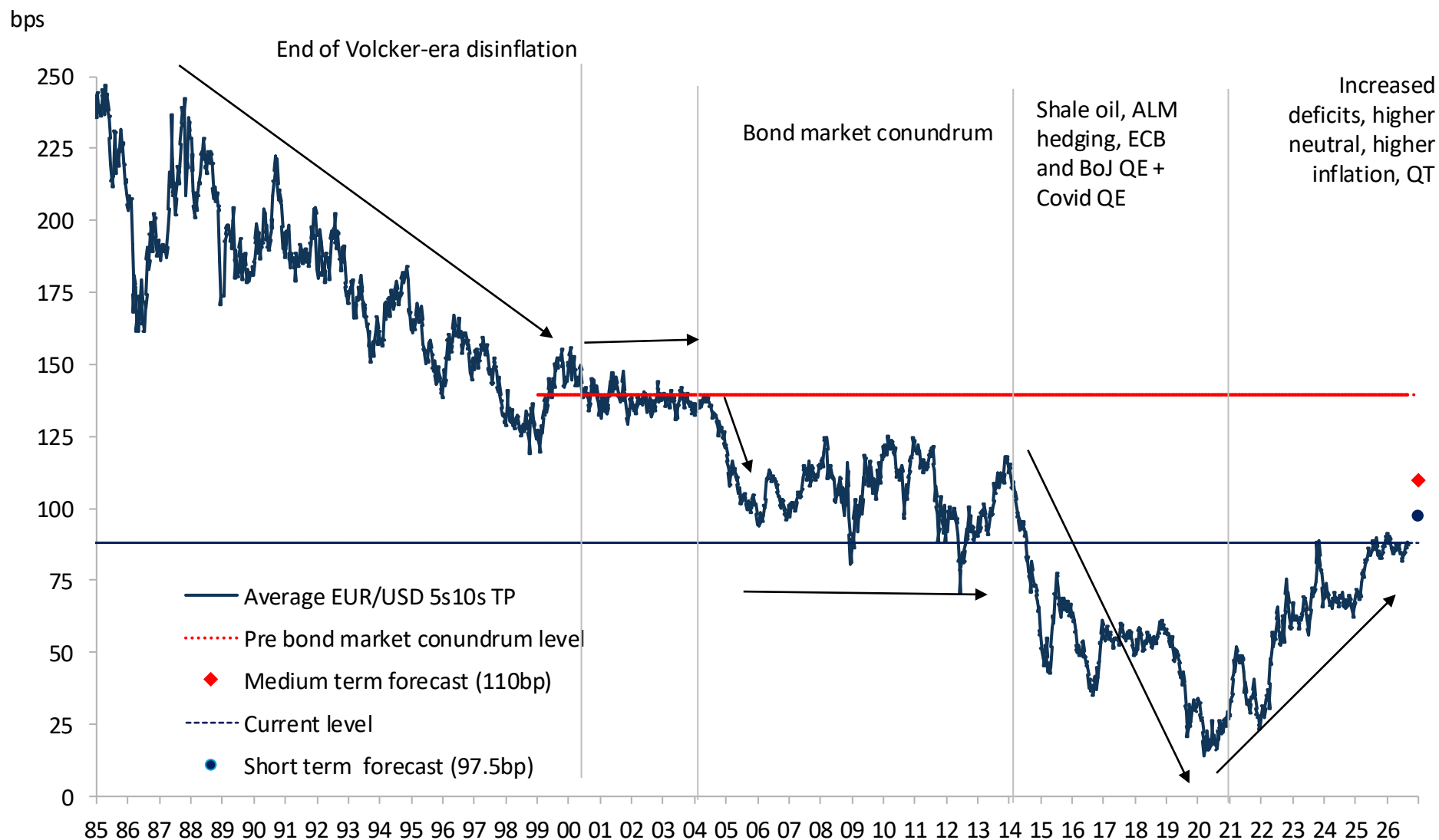
Global free float supportive of higher term premia



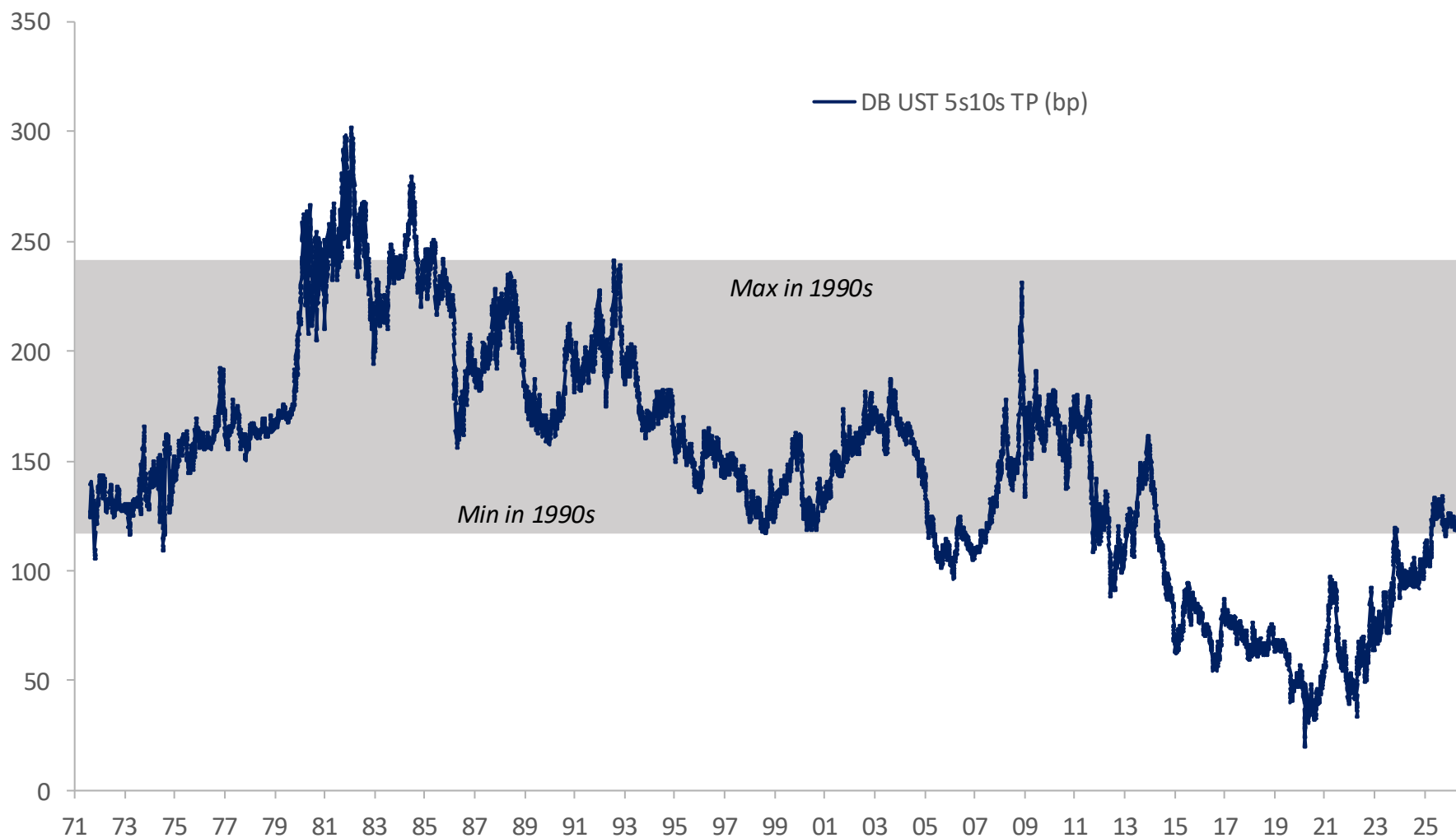
Term premia versus free float



The term premium has more upside



The term premium has more upside



During negative supply shocks, duration performs only if the term premium is high or if fiscal policy tightens



	1973	1980	1969
<i>Core PCE at the start</i>	4.9%	8.2%	4.7%
<i>Change in y/y core PCE</i>	5.1%	0.9%	0.1%
<i>Change in unemployment</i>	3.8%	1.5%	2.4%
<i>ACM at the start</i>	0.6%	3.0%	0.2%
<i>Change in deficits</i>	-0.4%	0.0%	3.3%
<i>Change in 10Y yield</i>	1.0%	-0.6%	-0.8%
<i>UST10Y excess return</i>	-10.1%	1.4%	11.0%

Structural upside to the EUR10s30s TP



	Implied	Impact
Current	110	
Historical Lookback: pre GFC ave 2000-06	178	
Historical Lookback: 2007-09 ave	144	
TP vs FI allocation	138	
Model Implied f(5s10s TP, vol) 2001-2007	122	
Estimated flows		10-60bp
Estimated on QE/QT betas		3-42bp

Blind tasting sovereign risk: which country has the least sovereign risk?



	Deficits	Growth	Debt-to-GDP
A	1.3	3.6	36
B	-3.9	1.7	173

Blind tasting sovereign risk: and now?



NIIP-to-GDP

CA

A

-91.3

-7.7

B

47.9

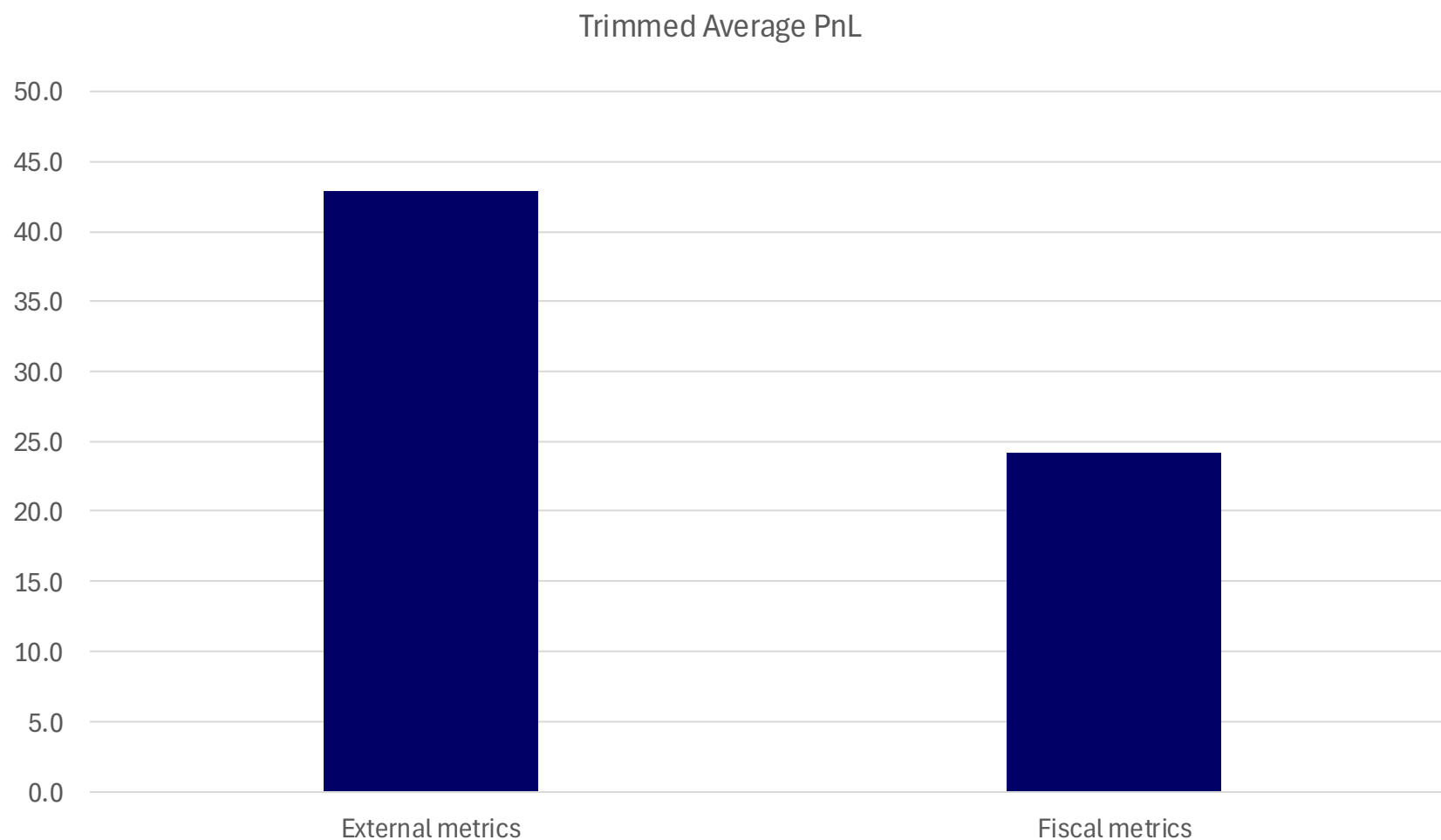
3.9

Entering an IMF lending programme is determined by the external rather than the fiscal position

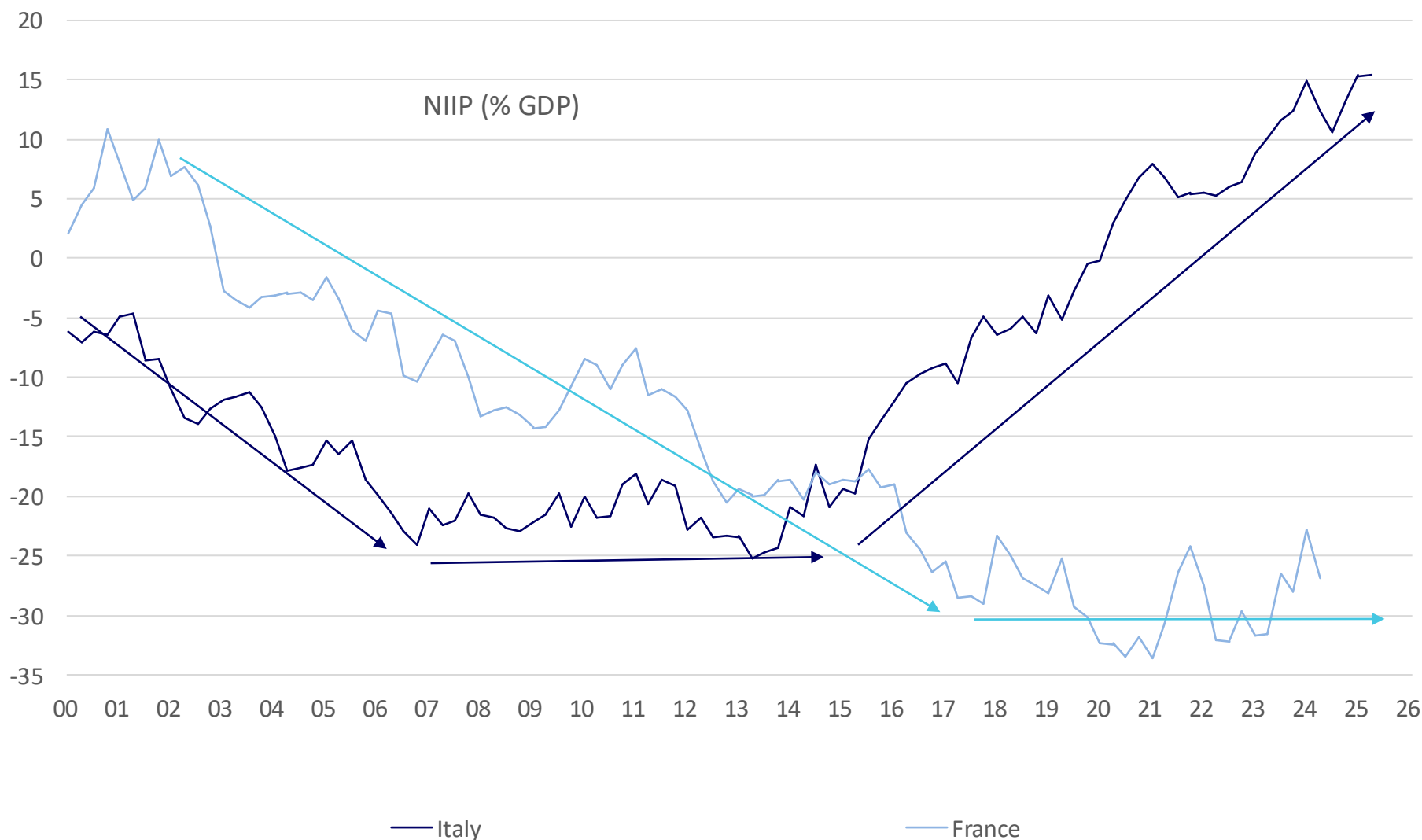


Metric	Median programme country	World
5y average current account (% GDP)	-5.2	balanced by construction
NIIP/GDP ex gold (t-1, %)	-44.9	balanced by construction
5y average fiscal balance (% GDP)	-2.2	-2.7
Debt/GDP (t-1, %)	47.9	67.2

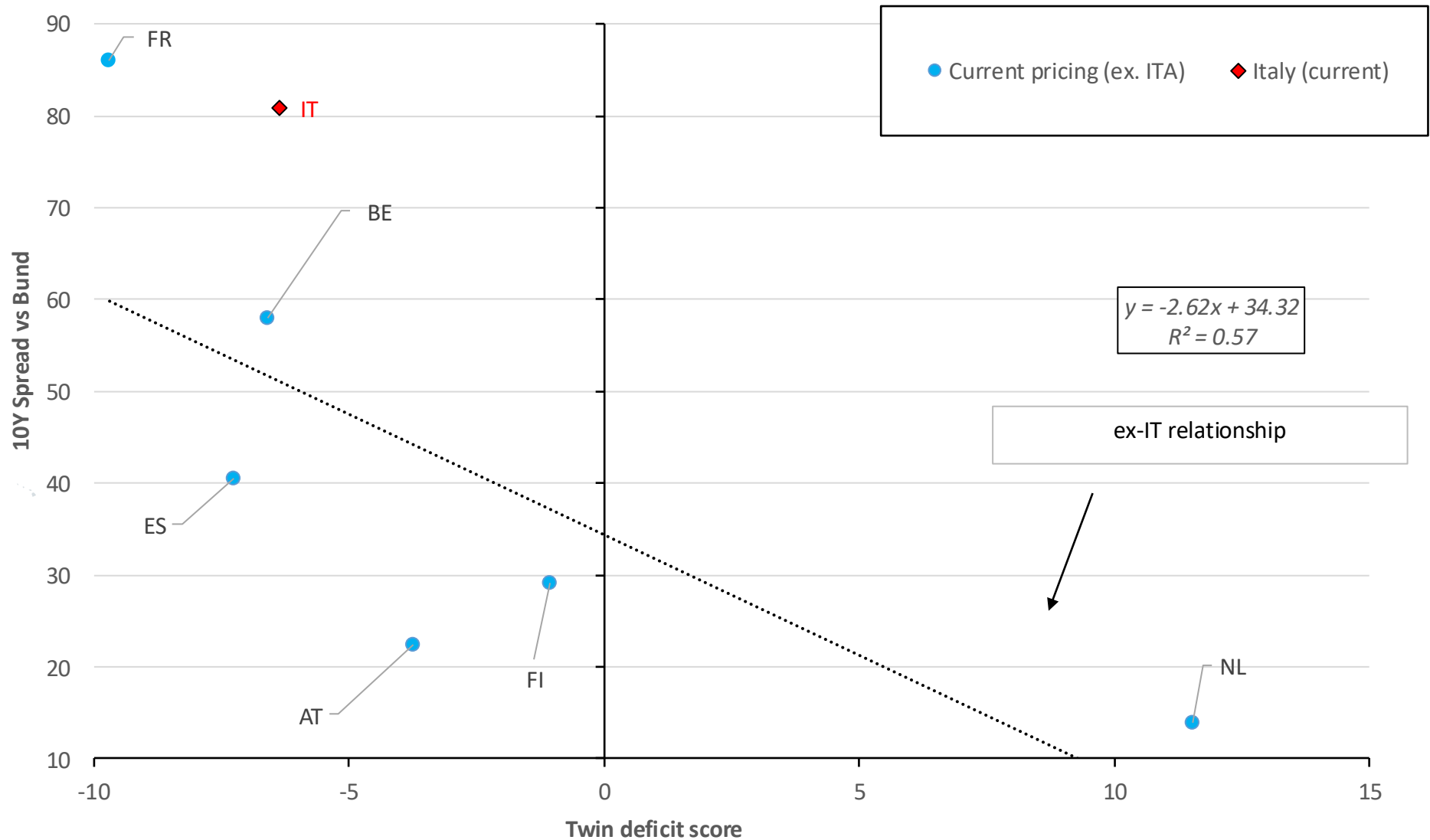
The external position is a better leading indicator of sovereign risks (and spreads) than fiscal metrics



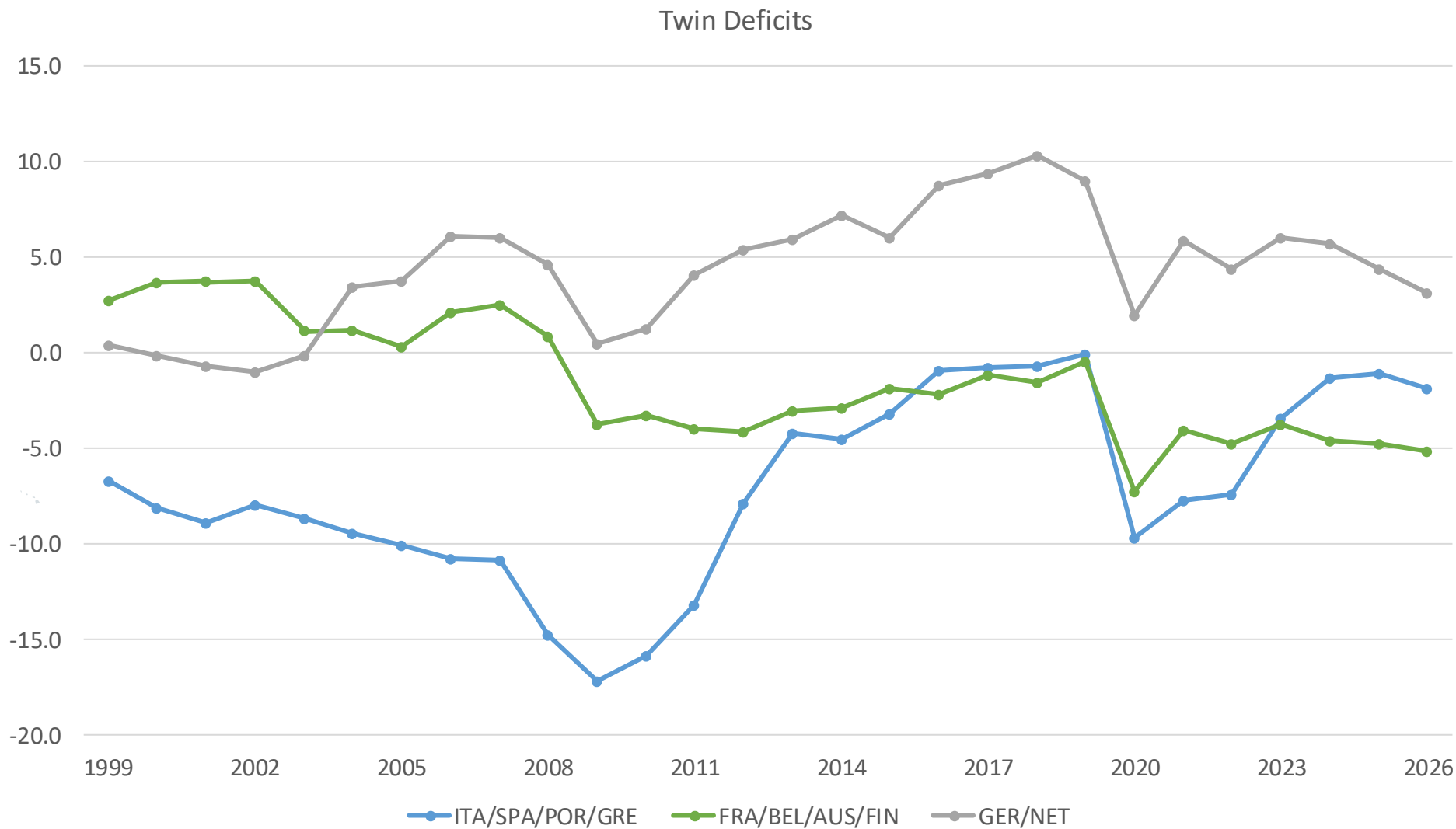
Italy's external position has improved, while France's has deteriorated



Twin-deficit model with 10-year EGB spread vs Bund



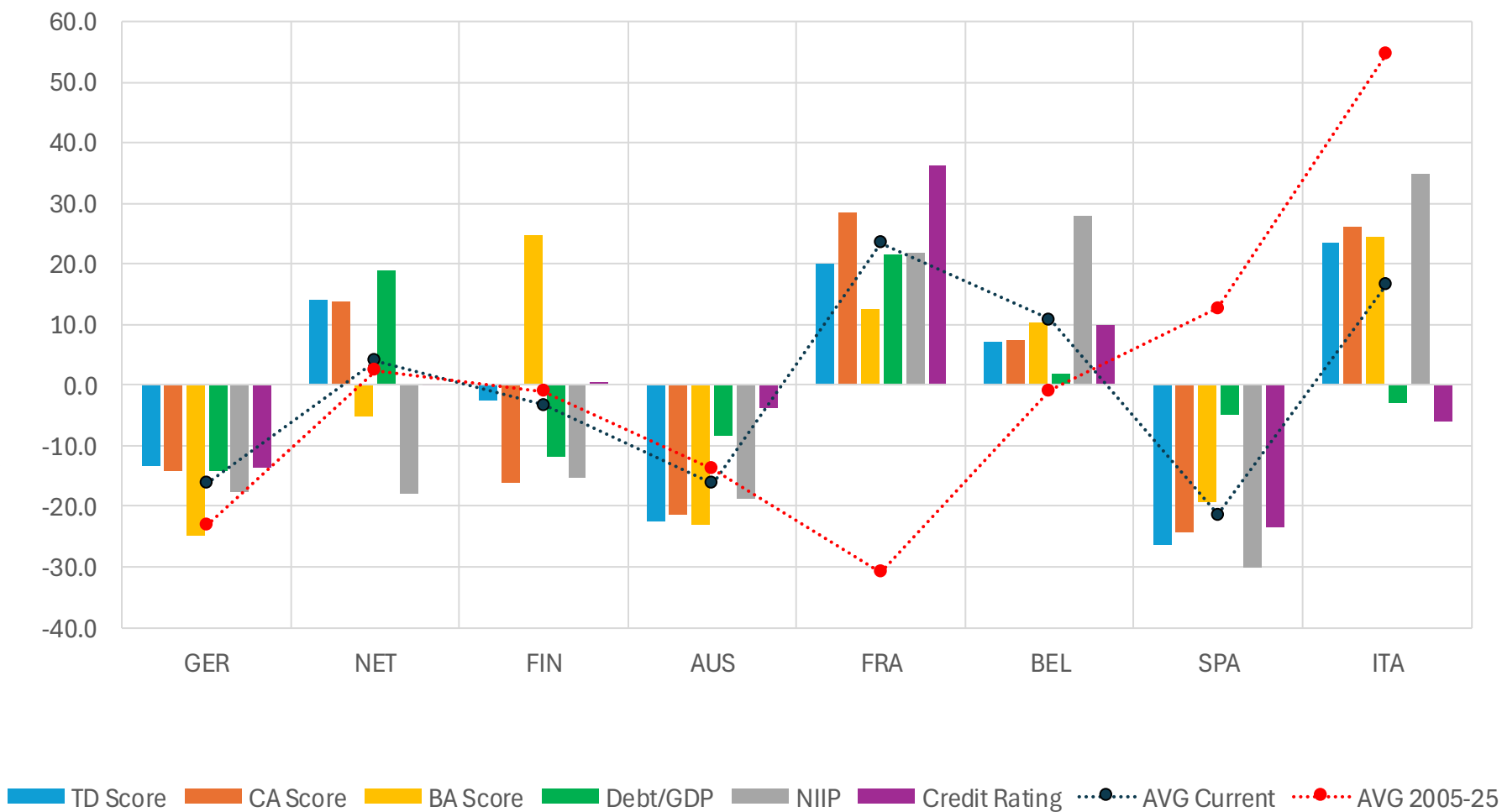
Periphery's improving twin deficits



Macro valuation metrics for EGBs



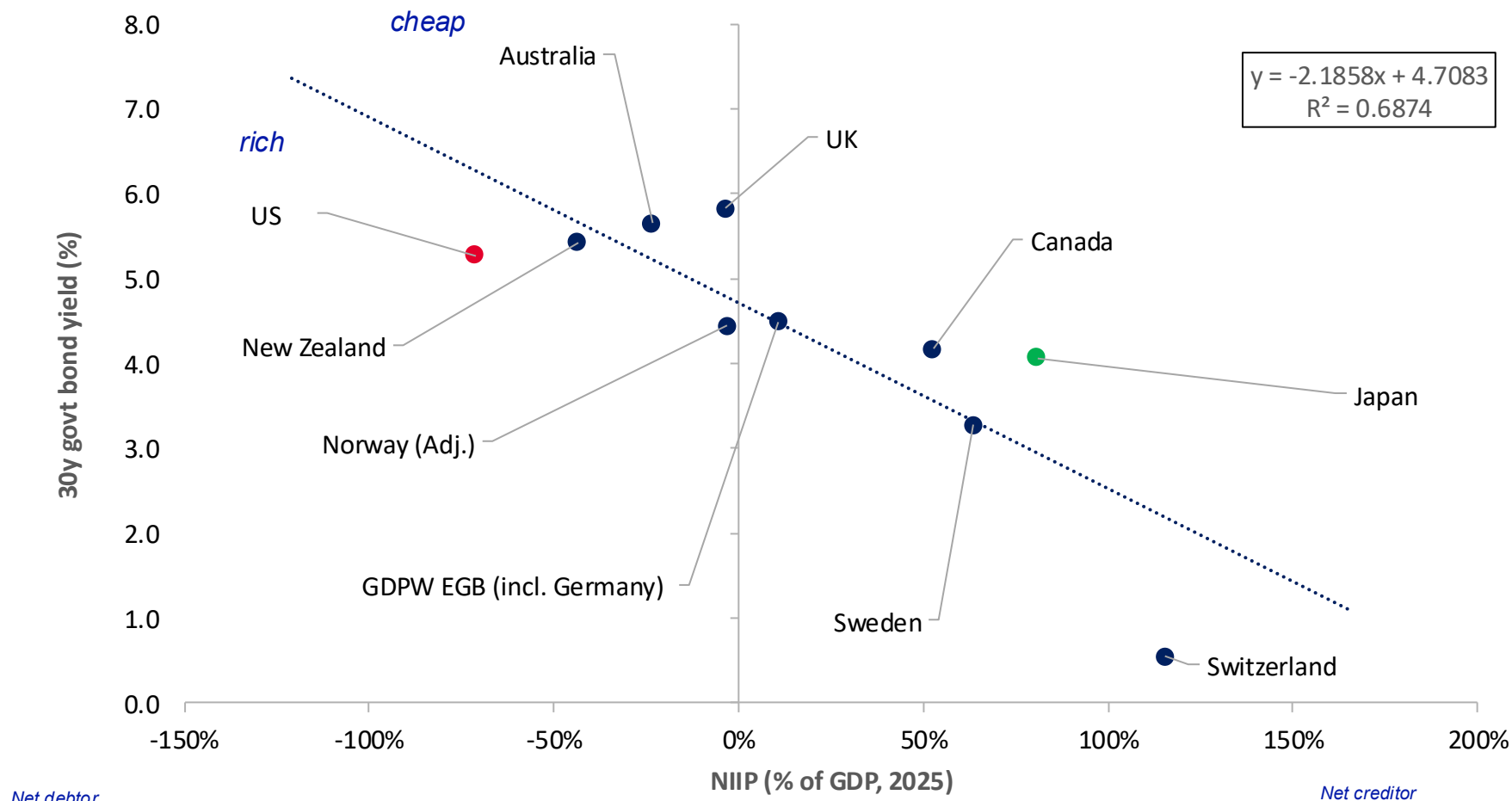
EGB 10y yields' residuals vs various Macro variables



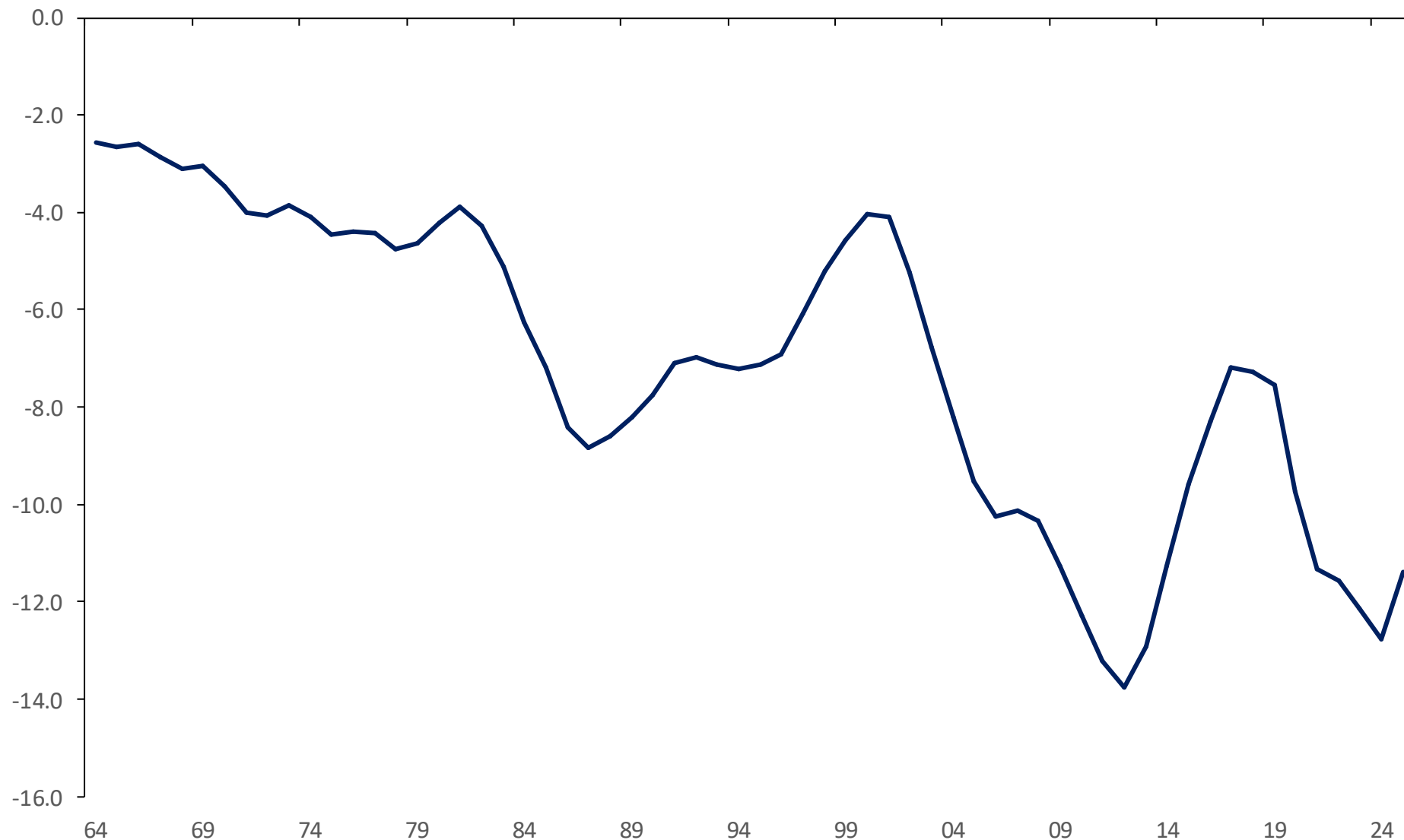
30Y government bond yield vs NIIP



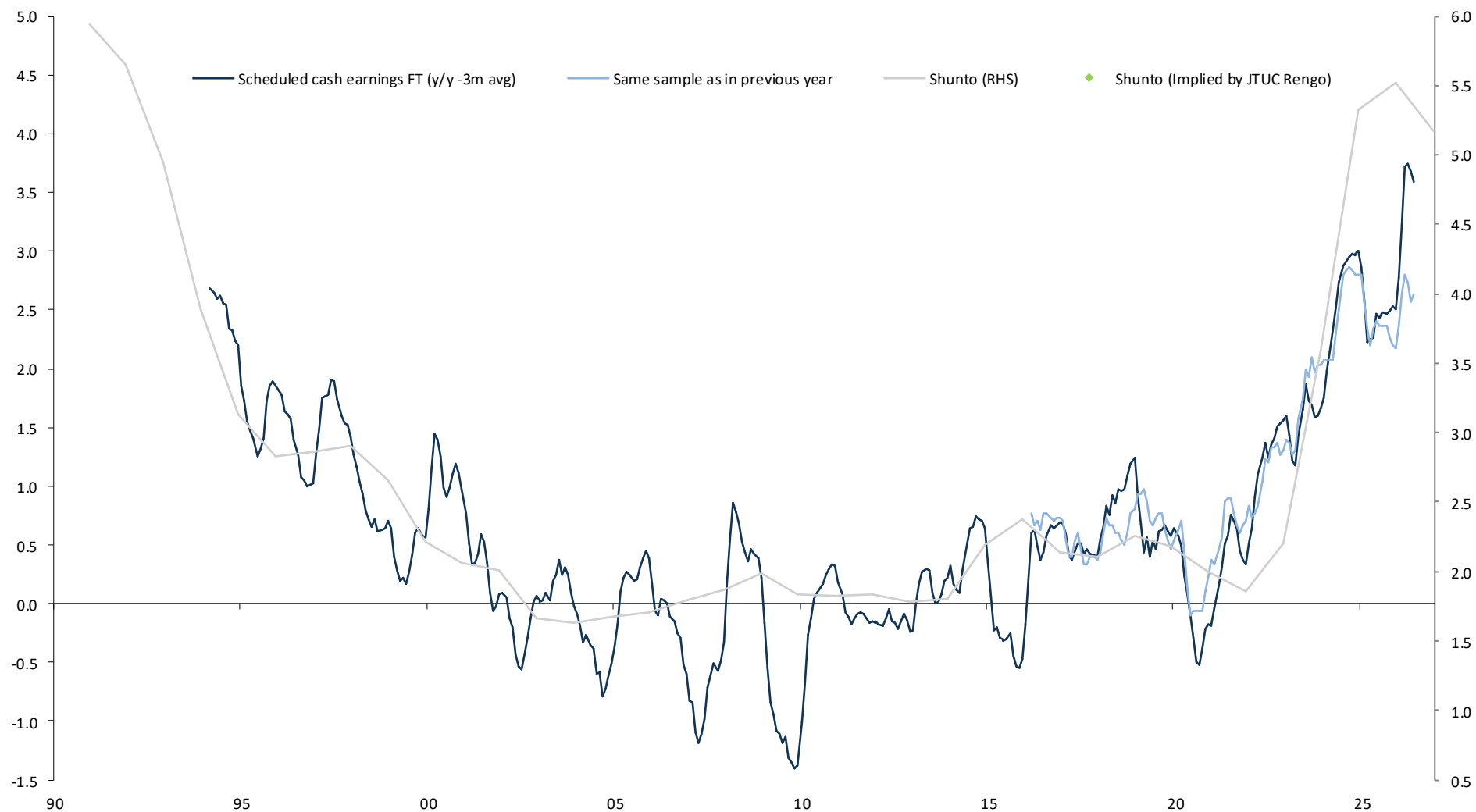
30Y government bond yield vs NIIP (%)



The US twin deficits are materially worse than in the 1970s



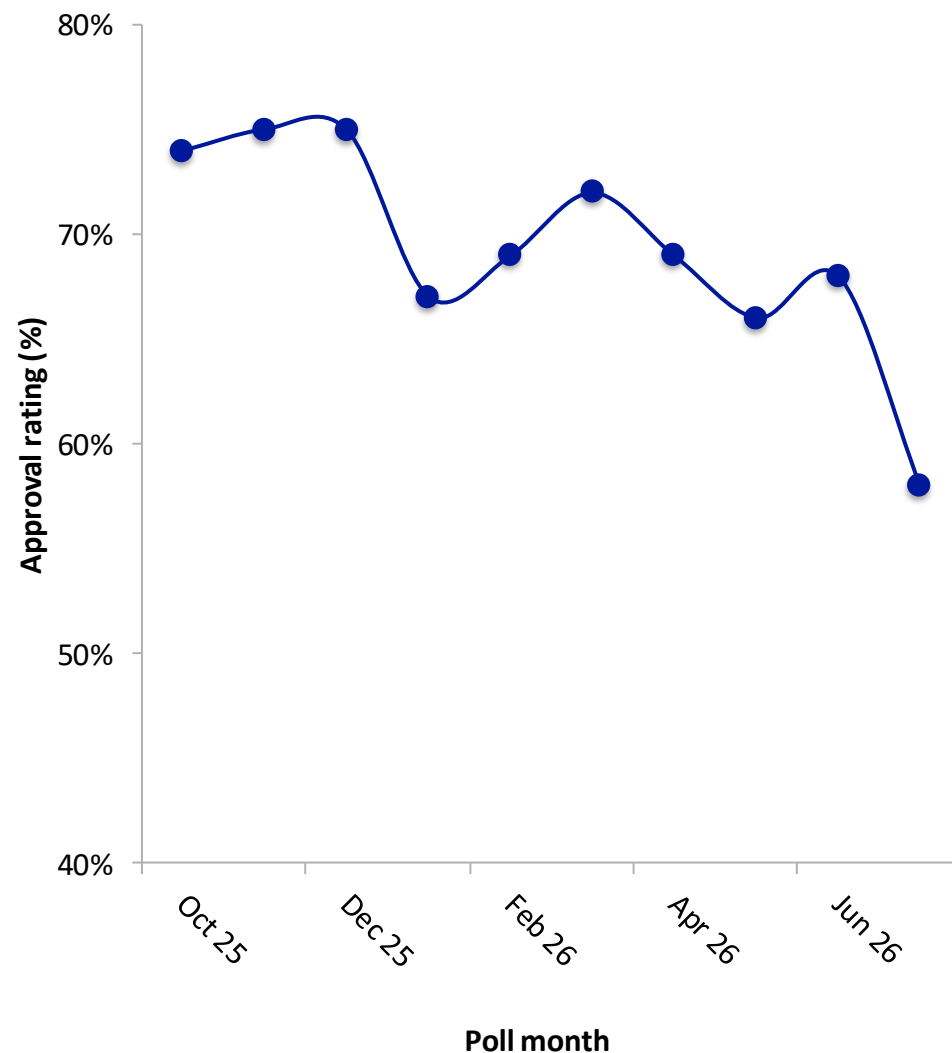
Why is this time different for the BoJ? Wages



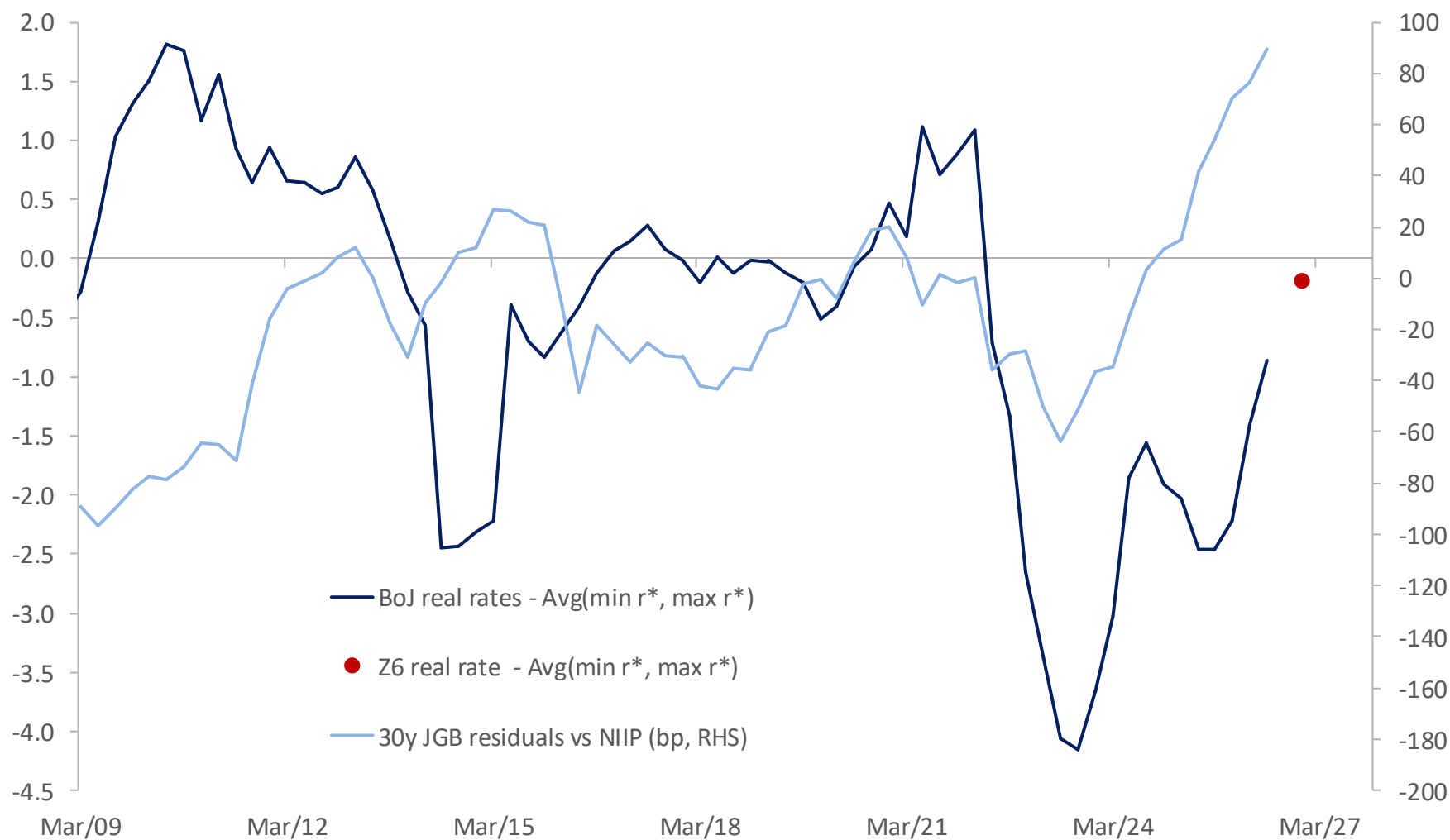
Opinion polls indicate that benign neglect of inflation is not a viable option politically



Top issues for voters	Share of respondents
Measures to address rising prices	49%
Pensions, healthcare and long-term care	38%
Foreign policy and national security	29%
Economic growth	28%
Employment and wages	22%
Child-rearing and education	22%
Fiscal consolidation	20%
Constitutional revision	10%



Scope for potential flattening in Japan



Appendix 1

Important disclosures



*Other information is available upon request

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For further information regarding disclosures relevant to Deutsche Bank Research, please visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/FICCDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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Macroeconomic fluctuations often account for most of the risks associated with exposures to instruments that promise to pay fixed or variable interest rates. For an investor who is long fixed-rate instruments (thus receiving these cash flows), increases in interest rates naturally lift the discount factors applied to the expected cash flows and thus cause a loss. The longer the maturity of a certain cash flow and the higher the move in the discount factor, the higher will be the loss. Upside surprises in inflation, fiscal funding needs, and FX depreciation rates are among the most common adverse macroeconomic shocks to receivers. But counterparty exposure, issuer creditworthiness, client segmentation, regulation (including changes in assets holding limits for different types of investors), changes in tax policies, currency convertibility (which may constrain currency conversion, repatriation of profits and/or liquidation of positions), and settlement issues related to local clearing houses are also important risk factors. The sensitivity of fixed-income instruments to macroeconomic shocks may be mitigated by indexing the contracted cash flows to inflation, to FX depreciation, or to specified interest rates – these are common in emerging markets. The index fixings may – by construction – lag or mis-measure the actual move in the underlying variables they are intended to track. The choice of the proper fixing (or metric) is particularly important in swaps markets, where floating coupon rates (i.e., coupons indexed to a typically short-dated interest rate reference index) are exchanged for fixed coupons. Funding in a currency that differs from the currency in which coupons are denominated carries FX risk. Options on swaps (swaptions) the risks typical to options in addition to the risks related to rates movements.

Derivative transactions involve numerous risks including market, counterparty default and illiquidity risk. The appropriateness of these products for use by investors depends on the investors' own circumstances, including their tax position, their regulatory environment and the nature of their other assets and liabilities; as such, investors should take expert legal and financial advice before entering into any transaction similar to or inspired by the contents of this publication. The risk of loss in futures trading and options, foreign or domestic, can be substantial. As a result of the high degree of leverage obtainable in futures and options trading, losses may be incurred that are greater than the amount of funds initially deposited – up to theoretically unlimited losses. Trading in options involves risk and is not suitable for all investors. Prior to buying or selling an option, investors must review the "Characteristics and Risks of Standardized Options", at <https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document>. If you are unable to access the website, please contact your Deutsche Bank representative for a copy of this important document.

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